BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company Of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:
Staff Markets and Innovation
Panel

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Q. Would the members of the Department of Public Service (Department) Staff Markets and Innovation Panel (the Panel) please state your names, employer, and business addresses?

A. Our names are Robert Cully, Nicole Sallese, Daniel Foley, Randy Monica Jr., and Arturo Lua Castillo. We are employed as Department of Public Service Staff (Staff). Our business address is Three Empire State Plaza, Albany, New York 12223

Q. Mr. Cully, state your position at the Department.

A. I am currently employed as a Policy Analyst 5 (Energy) assigned to the Clean Energy and Markets section of the Office of Markets and Innovation (OMI).

Q. Mr. Cully, describe your educational background.

A. I graduated from Clarkson University with a Bachelor of Science degree in Environmental Engineering in May 2010.

Q. Mr. Cully, please describe your professional experience and your position at the Department.

A. I have been employed by the Department since August 2012. Since joining the Department, my

responsibilities have included examining utility rates and fees; rate design; benefit cost analyses (BCAs); demand response (DR) programs; electric standby service rates; electric and gas demand management programs including Non-Wire Alternatives (NWAs), and Non-Pipe Alternatives, (NPAs); and Earnings Adjustment Mechanisms (EAMs).

Q. Mr. Cully, have you previously testified before the New York State Public Service Commission, referred to as the Commission?

A. Yes. I have testified in numerous rate proceedings since joining the Department, at least once for every major combination electric and gas utility in New York State. I have testified in every Con Edison Company of New York, Inc., (Con Edison or the Company) Electric and Gas rate proceeding since 2013, the most recent of which was in 2022 in Cases 22-E-0064 and 22-G-0065. My most recent testimony was submitted in Cases 24-E-0060 and 24-G-0061 regarding Orange and Rockland Utilities, Inc. (O&R).

Q. Ms. Sallese, state your position at the

Department.

A. I am a Policy Analyst 2 (Energy) in the Office of Markets and Innovation.

Q. Ms. Sallese, describe your educational background.

A. I attended New York University and the State University of New York at New Paltz, receiving an interdisciplinary bachelor's degree in biology, geography, and English in 2018. I am currently matriculated at Johns Hopkins University, working toward a master's degree in energy policy and climate science.

Q. Ms. Sallese, please describe your professional experience and your position at the Department.

A. Prior to joining the Department, I worked for eight years as a microbiology and environmental science lab technician, prepping and maintaining specimens, conducting fieldwork, and gathering data. I began working for the Department in 2020 in the Office of Resilience and Emergency Preparedness, where I analyzed annual submissions of the NYS Investor-Owned Utilities' Emergency Response Plans to ensure adherence to the Public Service Law and the prioritization of

safety and company preparedness. I also assisted in executive reporting and storm response and collaborated with Joint Utility representatives in the development and implementation of the NYS Joint Utility Climate Vulnerability Studies and Response Plans. I began working for the Office of Markets and Innovation in February of 2023, where the primary focus of my work has been on meeting the goals of the Climate Leadership and Community Protection Act, particularly concerning proceedings in Light and Medium-Heavy Duty Electric Vehicles and Proactive Planning.

Q. Ms. Sallese, have you previously testified before the Commission?

A. Yes, I have testified in Cases 24-E-0322 and 24-G-0323, regarding National Grid, and Cases 23-E-0418 and 23-G-0419, regarding Central Hudson.

Q. Mr. Monica, state your position at the Department.

A. I am a Policy Analyst 2 (Energy) in the Office of Markets and Innovation.

Q. Mr. Monica, describe your educational background.

A. I attended the State University of New York College at Potsdam where I earned a Bachelor of Arts degree in Environmental Studies. I also minored in Environmental Science and in Political Science.

Q. Mr. Monica, please describe your professional experience and your position at the Department.

A. I joined the Department in late 2019 as a member of the wholesale markets team in the Office of Markets and Innovation. I have primarily served as one of the Department's representatives at stakeholder meetings at the New York Independent System Operator (NYISO). I also follow and advise on filings made with the Federal Energy Regulatory Commission (FERC). In my work on the wholesale markets team, I have primarily focused on issues related to Distributed Energy Resources (DER), Demand Response, and energy storage.

Q. Mr. Monica, have you previously testified before the Commission?

A. Yes, I testified in Cases 21-G-0073 and 21-E-0074 regarding O&R rates.

Q. Mr. Foley, state your position at the

Department.

A. I am a Utility Analyst assigned to the Office of Markets and Innovation.

Q. Mr. Foley, describe your educational background.

A. I attended the Universities of New York at Binghamton and Albany, and the Julius-Maximilians-Universität in Würzburg, Germany, receiving a Bachelor of Arts degree in German Language in 1992, followed by several years of non-matriculated continuing education in the fields of Financial Accounting and Auditing.

Q. Mr. Foley, please describe your professional experience and your position at the Department.

A. I was previously an auditor for the New York State Department of Taxation and Finance, conducting corporate tax audits, before assuming the role of Senior Accountant for the Division of Finance and Rate Setting of the New York State Department of Health. I joined the Department in 2017, and I developed and designed the Company's current Commission-authorized Energy Efficiency (EE) budgets and associated savings targets. I am primarily engaged in day-to-day, as well as a variety of ad hoc, analyses

of finance- and energy savings-related datasets associated with the performance of investor-owned utility EE and Building Efficiency (BE) programs, including those of the Company, as well as analyses of EE/BE program participant bill impacts and analyses of greenhouse gas emissions.

Q. Mr. Foley, have you previously testified before the Commission?

A. Yes. For major energy utility rate cases, I testified in Cases 24-E-0322 and 24-G-0323, Niagara Mohawk Power Corporation (NMPC); Case 23-G-0627, National Fuel Gas Corporation; 23-E-0418 and 23-G-0419, Central Hudson; Cases 22-E-0317, 22-G-0318, 22-E-0319 and 22-2-G-0320, New York State Electric & Gas Corporation (NYSEG), and Rochester Gas & Electric Corporation (RG&E); Cases 20-E-0380 & 20-G-0381, NMPC; Cases 19-E-0378, 19-G-0379, 19-E-0380 and 19-G-0381, NYSEG and RG&E; and Cases 18-E-0067 and 18-G-0068, O&R.

Q. Mr. Lua Castillo, state your position at the Department.

A. I am a Policy Analyst assigned to the Office of

Markets and Innovation working under the Energy Equity, Communities, and Finance Unit.

Q. Mr. Lua Castillo, describe your educational background.

A. I received a Master of Arts degree in Latin American Caribbean and U.S. Latino Studies from the State University of New York at Albany, (SUNY Albany), in 2023. Previously, I received Bachelor of Arts degrees in Economics and Latin American, Caribbean, and U.S. Latino Studies from SUNY Albany in 2020.

Q. Mr. Lua Castillo, please describe your professional experience and your position at the Department.

A. Prior to joining the Department in April of 2024, my most recent work was as a teaching assistant at SUNY Albany and as an Energy Justice Researcher for Mid-Hudson Energy Transition where I specialized in interdisciplinary research encompassing demographics, sociological phenomena, and building stock analysis.

Q. Mr. Lua Castillo, have you previously testified before the Commission?

A. No.

Q. Panel, what is the purpose of your testimony in these proceedings?

A. In our testimony, we will address and provide our recommendations regarding the following: (1) the Company's proposals related to its EE/BE portfolios; (2) adjustments to the Company's proposed revenue requirement model necessitated by our recommendations pertaining to the Company's EE/BE portfolios; (3) the Company's proposals related to new strategic projects; (4) the Company's proposals related to its Customer Analytics and Reporting Engagement (CARE) Program; (5) the Company's proposals related to its Clean Energy Support project; (6) the Company's proposals related to the New York Cap-and-Invest initiative; (7) the Company's proposals related to electric vehicle (EV) Charging Expansion Program; and (8) the Company's proposals related to eight earnings adjustment mechanisms (EAMs).

Q. Has the Panel referred to, or otherwise relied upon, any information obtained during the discovery phase of this proceeding?

A. Yes. We will refer to, and have relied upon, several responses the Company provided to the Department's information requests (IRs), all of which we include in Exhibit___(SMIP-1). We will refer to these IR responses by the designation given to them by the Department, for example, DPS-123.

Q. Is the Panel sponsoring any other exhibits?

A. Yes. We are also sponsoring six additional exhibits.

Q. Please describe these Exhibits.

A. Exhibit___(SMIP-2) contains a workpaper titled 'CECONY DEC24 EE Rate Plan Spend Forecast.xlxs' provided by the Company in support of its EE and BE portfolio performance forecasts.

Exhibit___(SMIP-3) contains a summary of our adjustments to capital expenditure (CapEx) and operations and maintenance (O&M) costs.

Exhibit___(SMIP-4) contains a Company Accounting Panel Workpaper providing cost elements related to projects discussed in its Customer Energy Solutions Panel.

Exhibit___(SMIP-5) contains a workpaper showing development of our adjustment related to the

Company's EV Charging Expansion Project. Exhibit___(SMIP-6) contains a presentation provided by the New York Independent System Operator regarding its Special Case Resources Program. Exhibit___(SMIP-7) contains the results of a survey of Company-proposed CapEx projects related to transportation electrification.

Q. What time periods are discussed during the Panel's testimony?

A. The most important time period discussed in our testimony is the Rate Year, which is from January 1, 2026, through December 31, 2026. The Company has also provided information regarding Rate Year 2 – from January 1, 2027, through December 31, 2027 – and Rate Year 3 – from January 1, 2028, through December 31, 2028. Many of the Company's forecasts and projections are based on a period known as the Historic Test Year, from October 1, 2023, through September 30, 2024. The period after the end of the Historic Test Year until the beginning of the Rate Year – that is, October 1, 2024, through December 31, 2025 – is called the Linking

Period. We will also refer to individual calendar years 2023, 2024, and 2025 separately from their other designations as part of the Historic Test Year or Linking Period. Finally, we will also refer to the current Rate Plan - covering the three-year period from January 1, 2023, through December 31, 2025 - which was established as part of the February 16, 2023 Joint Proposal submitted in Cases 22-E-0064 and 22-G-0065, and approved by the Commission in its July 20, 2023, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements in the same proceedings.

EE AND BE PORTFOLIOS

Q. What issues will the Panel address regarding the Company's EE and BE portfolios?

A. We will address the Company's proposals regarding EE/BE portfolio budgets, EE/BE portfolio cost recovery, and full-time equivalent employees (FTEs) for its EE/BE portfolios. Throughout its testimony, the Company refers to these EE/BE portfolios as its Customer Clean Energy Program.

Q. What does the Company propose regarding its EE/BE portfolio budgets?

A. As reflected in the Company's 'CECONY DEC24 EE Rate Plan Spend Forecast.xlxs' workpaper, included in Exhibit___(SMIP-2), the Company proposes budgets of approximately $256 million and $101 million to fund its electric and gas EE/BE portfolios, respectively, for the calendar year ending December 31, 2026 (Rate Year).

Q. Does the Panel agree with the EE/BE budgets included in the Company's proposed electric and gas revenue requirement models?

A. No. On May 15, 2025, the Commission issued its Order Authorizing Utility- and NYSERDA-Administered Low- and Moderate-Income (LMI) Energy Efficiency and Building Electrification Portfolios for 2026 Through 2030 (2025 LMI Order), and its Order Authorizing Utility- and NYSERDA-Administered Non-LMI Energy Efficiency and Building Electrification Portfolios for 2026 Through 2030 (2025 Non-LMI Order), in Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative. Those Orders authorized average annual EE/BE portfolio budgets for the

Company, as well as the other large investor-owned utilities, for 2026 through 2030. Rather than the EE/BE budgets included in the Company's proposed revenue requirement models, we recommend budgets that align with those authorized by these Commission Orders.

Q. What specific amounts of funding did the Orders authorize?

A. For the Rate Year, the 2025 LMI Order authorized average annual budgets of $21.9 million and $69.6 million for the Company's electric and gas LMI EE/BE portfolios, respectively. For the same year, the 2025 Non-LMI Order authorized average annual budgets of $277.8 million and $58.4 million for the Company's electric and gas non-LMI EE/BE portfolios, respectively.

Q. What does the Company propose regarding EE/BE cost recovery?

A. As discussed on page 123 of the initial testimony of the Company's Accounting Panel, the Company proposes to continue to incur EE/BE costs as regulatory assets to be recovered in base rates, amortized over fifteen years.

Q. What amounts of EE/BE cost recovery is the

Company proposing to include in the electric revenue requirement for the Rate Year?

A. On lines 4 and 5 of Schedule 4 of the updated Exhibit___(AP-E3), in 'Exhibits AP-E2 Update-AP E4-Update, AP-5 Update, AP-7', the Company proposes $83.2 million of cost recovery in the electric revenue requirement for the Rate Year. That figure includes amortized cost recovery through base rates for EE/BE expenditures incurred in the Rate Year as well as EE/BE costs that the Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements, issued on July 20, 2023 in Cases 22-E-0064 and 22-G-0065 (2023 Rate Order), authorized the Company to incur in 2023 through 2025 as regulatory assets to be recovered in base rates, also amortized over fifteen years. The $83.2 million also includes carrying charges and interest.

Q. What amounts of EE/BE cost recovery is the Company proposing to include in the gas revenue requirement for the Rate Year?

A. On lines 4 and 5 of Schedule 4 of the updated Exhibit___(AP-G3), 'Exhibits AP-G2 Update-AP G4-

Update, AP-5 Update, AP-7', the Company proposes $30.6 million of cost recovery in the gas revenue requirement for the Rate Year. That figure includes amortized cost recovery through base rates for EE/BE expenditures incurred in the Rate Year as well as EE/BE costs that the 2023 Rate Order authorized the Company to incur in 2023 through 2025 as regulatory assets to be recovered in base rates, also amortized over fifteen years. The $30.6 million also includes carrying charges and interest.

Q. Does the Panel agree with the cost recovery method included in the Company's proposed electric and gas revenue requirement models?

A. No. The 2025 LMI Order and the 2025 Non-LMI Order direct each utility to begin to use, starting January 1, 2026, an existing surcharge mechanism to recover all EE/BE expenditures related to program activity associated with Commission-authorized EE/BE budgets for 2026-2030. We therefore recommend that the Company's EE/BE costs be removed from its proposed revenue requirement models and that recovery of costs associated with the EE/BE budgets authorized by

the 2025 LMI Order and 2025 Non-LMI Order occur through an existing surcharge mechanism.

Q. Does the Panel have any recommendations regarding EE/BE costs that have already been authorized to be recovered in base rates and amortized over fifteen years?

A. Yes. The 2023 Rate Order authorized the Company to incur EE/BE costs from 2023 through 2025 as regulatory assets to be recovered in base rates, amortized over fifteen years. More recently, however, the 2025 LMI Order and the 2025 Non-LMI Order directs each utility to begin to use, starting January 1, 2026, an existing surcharge mechanism to recover EE/BE costs such as these, which occurred before January 1, 2026 and that have not yet been collected by the utility. We therefore recommend that these regulatory assets also be removed from the Company's revenue requirement models, with cost recovery to occur through an existing surcharge mechanism.

Q. What effect would Staff's recommendations regarding EE/BE cost recovery have on the Company's proposed revenue requirements for the Rate Year?

A. These recommendations would decrease the Company's proposed electric and gas revenue requirements in the Rate Year by approximately $83.2 million and $30.6 million of amortization expenses, respectively. The unamortized deferred balances in the rate base for electric and gas would also decrease by $752.1 million and $286.2 million, respectively.

Q. What does the Company propose regarding incremental FTEs for its EE/BE portfolios?

A. On page 1 of Exhibit___(CES-3) of the initial testimony of Company's Customer Energy Solutions Panel (CES Panel) the Company proposes six incremental FTEs to be hired in the Rate Year with an additional six hired over the two following years. The Company proposes to recover the costs associated with these FTEs in base rates.

Q. Does the Panel agree with the Company's proposal regarding incremental FTEs?

A. No. As previously stated, the 2025 LMI Order and the 2025 Non-LMI Order direct each utility to begin to use an existing surcharge mechanism to recover all EE/BE expenditures related to

program activity associated with Commission-authorized EE/BE budgets for 2026-2030. This includes moving EE/BE labor cost recovery from base rates to a surcharge mechanism. We therefore recommend that EE/BE labor costs, both baseline and incremental, be removed from the revenue requirements and that recovery of those costs occur through an existing surcharge mechanism.

Q. What effect would Staff's recommendations regarding EE/BE labor cost recovery have on the Company's proposed revenue requirements for the Rate Year?

A. As indicated in the Company's response to DPS-852, these recommendations would further decrease the Company's proposed electric and gas revenue requirements by approximately $22.9 million and $4.0 million, respectively, in the Rate Year. These amounts are "fully-loaded" labor costs, which is to say that they include salaries, payroll taxes, 401(k) plans, workers' compensation costs, etc.

Q. Does the Panel have any recommendations regarding the Company's proposed number of

incremental FTEs?

A. No. However, we would like to note that labor costs are included in the EE/BE budgets authorized by the 2025 LMI Order and the 2025 Non-LMI Order and that those Orders do not specifically limit the number of FTEs in a given period. Instead, the Orders limit the percentage of those budgets that may be spent on backend program implementation, including labor, that does not directly support customers or installation contractors in implementing EE/BE projects.

Adjustments to Revenue Requirement

Q. What adjustments to the Company's electric and gas revenue requirements are needed to move cost recovery for the EE/BE portfolio expenditures out of base rates?

A. There are three categories of adjustments that need to be made to fully remove EE/BE portfolio cost recovery from base rates. First, the EE/BE programmatic costs, such as those that fund incentive payments made to program participants, as well as portfolio-level costs, such as those that fund evaluation, measurement, and

verification of EE/BE savings, must be removed. Historically, these costs have been deferred and amortized over a period of 15 years. Therefore, there are two sub-adjustments that need to be made regarding these costs.

Q. What are the two sub-adjustments?

A. The first of the two sub-adjustments is that cost recovery of the portion of the remaining unamortized and unrecovered balance of these EE/BE costs needs to be removed from base rates for the Rate Year. The projected balance of these costs as of December 31, 2025 is $916.89 million for the electric business and $350.97 million for the gas business, as shown in Schedule 4 of updated Exhibit___(AP-E3) and Schedule 4 of updated Exhibit___(AP-G3) of the Company's Accounting Panel. The second of the two sub-adjustments is that recovery of the portion of such EE/BE program costs which will be newly expended during the Rate Year, which the Company proposes to defer and amortize over 15 years, will need to be removed from base rates for the Rate Year. This amount is $255.58 million for the electric business and $101.09

million for the gas business as shown in the Company's 'CECONY DEC24 EE Rate Plan Spend Forecast.xlxs' workpaper, included in Exhibit___(SMIP-2).

Q. What is the second category of adjustments that need to be made to fully remove EE/BE portfolio cost recovery from base rates?

A. The second category of costs that need to be removed from base rates is labor and labor-related Operation and Maintenance (O&M) costs related to the EE/BE portfolios. Historically, labor and labor-related O&M costs associated with the EE/BE portfolios have not been deferred and amortized over a multi-year period. Rather, recovery of these costs has been included in revenue requirements like other typical Company labor and labor-related expenses. Removing EE/BE portfolio labor and labor-related O&M costs will require an additional three sub-adjustments.

Q. What are the three additional sub-adjustments needed to remove EE/BE portfolio labor O&M costs from base rates?

A. The first sub-adjustment is to remove EE/BE

portfolio labor costs from base rates for the Historic Test Year. The amount of EE/BE labor costs included in the Historic Test Year are $15.94 million for the electric business and $2.81 million for the gas business, as shown on the 'Program Change INPUT' worksheet of the Company's workpaper entitled 'AP-3 Sch 6 Various Company Labor Lines - Update Filing 20250408.xlxs', provided in the Company's response to DPS-867. The second sub-adjustment is to remove recovery of incremental EE/BE portfolio labor costs from base rates for the Rate Year. The amount of these costs included in the Rate Year are $0.60 million for the electric business and $0.11 million for the gas business, as shown in the same workpaper. The third sub-adjustment is to remove recovery of EE/BE non-salary labor costs from base rates for the Rate Year. These non-salary labor O&M expenses include payroll taxes, labor-fringe benefit expenses, workers' compensation expenses, pensions and other post-employment benefits, etc. As provided in the Company's response to DPS-1044 these non-salary EE/BE

labor costs total $6.38 million for the electric business and $1.13 million for the gas business. The exhibits of the Staff Accounting Panel reflect the removal of these EE/BE labor costs from the Company's Rate Year forecasts.

Q. What is the third category of adjustments that need to be made to fully remove cost recovery of EE/BE portfolio expenses from base rates?

A. The third category of costs that need to be removed from base rates is non-labor O&M costs, funded outside of the EE/BE budgets, that relate to the operation of EE/BE portfolios. Historically, these non-labor operative EE/BE O&M costs have not been deferred and amortized over a multi-year period, but instead intermixed with non-labor O&M costs of other initiatives under the Company's Clean Energy Solutions group umbrella. As indicated in the Company's response to DPS-852, the Company is forecasting no EE/BE portfolio non-labor O&M costs during the Rate Year that are incremental to the level of costs incurred in the Historic Test Year for its EE/BE portfolios. As previously stated, the Company refers to its EE/BE portfolios as the

Customer Clean Energy Program (CCEP).

Q. What adjustment is needed to remove recovery of the non-labor operative EE/BE O&M costs from base rates in the Rate Year in an amount equal to those costs incurred in the Historic Test Year?

A. As mentioned, non-labor operative EE/BE O&M costs are included together with other CES group non-labor costs during the Rate Year. As shown on worksheet Exhibit__(AP-3) of the Company's updated workpaper entitled 'AP-EG3 Schedule 6 Customer Energy Solutions.xlsx', provided by the Company in response to DPS-287 there was a total of $8.22 million of CES group non-labor O&M expense for the electric business during the Historic Test Year, and $0.76 million in CES group non-labor O&M expense for the gas business during the same period. A portion of each of these costs needs to be adjusted downward to remove costs related to the EE/BE portfolios without impacting the other initiatives under the CES group umbrella.

Q. How much of the CES group umbrella's non-labor O&M expense is related to the EE/BE portfolios

for the electric business?

A. Of the $8.22 million for the electric business, $0.74 million is related to the EE/BE portfolios, as shown on the 'Test Year Pivot' worksheet of the Company's workpaper entitled 'AP-EG3 Schedule 6 Customer Energy Solutions.xlsx', which was provided by the Company in response to DPS-287. These costs correspond to those labeled "CCEP" in the worksheet.

Q. How much of the CES group umbrella's non-labor O&M expense is related to the EE/BE portfolios for the gas business?

A. Of the $0.76 million for the gas business for the Historic Test Year, $0.13 million is related to the EE/BE portfolios, as shown on the same worksheet. These costs also correspond to those labeled "CCEP" in the worksheet.

Q. Please summarize your adjustments related to the removal of EE/BE portfolio costs from the Company's proposed Rate Year revenue requirement model for its electric business.

A. For the electric business, we recommend removing annual amortization cost recovery of $78.17

million from base rates. This figure is calculated by totaling the unamortized EE/BE portfolio deferral balance of $916.89 million as of December 31, 2025, and the projected Rate Year EE/BE portfolio costs of $255.58 million, and then dividing that total by the 15-year amortization period. We also recommend downward adjustments of $16.54 million of EE/BE labor O&M costs, $6.38 million of incremental EE/BE non-salary labor O&M costs, and $0.74 million of EE/BE non-labor O&M costs from the Company's forecast of Rate Year O&M expenses. These adjustments are reflected in the revenue requirement models provided by the Staff Accounting Panel and are reflected in its workpapers and exhibits.

Q. Please summarize your adjustments related to the removal of EE/BE portfolio costs from the Company's proposed Rate Year revenue requirement model for its gas business.

A. For the gas business, we recommend removing annual amortization cost recovery of $30.14 million from base rates. This figure is calculated by totaling the unamortized EE/BE

portfolio deferral balance of $350.97 million as of December 31, 2025, and the projected Rate Year EE/BE portfolio costs of $101.09 million, and then dividing that total by the 15-year amortization period. We also recommend downward adjustments of $2.92 million of EE/BE labor O&M costs, $1.13 million of incremental EE/BE non-salary labor O&M costs, and $0.13 million of EE/BE non-labor O&M costs from the Company's forecast of Rate Year O&M expenses. These adjustments are also reflected in the revenue requirement models provided by the Staff Accounting Panel and are reflected in its workpapers and exhibits.

Q. Does the Panel have any other recommendations related to adjustments to the Company's electric and gas revenue requirements for EE/BE-related matters?

A. Not specifically. However, as previously stated, the 2025 LMI Order and the 2025 Non-LMI Order direct each utility to begin to use, starting January 1, 2026, an existing surcharge mechanism for cost recovery of all EE/BE expenditures related to activity associated with

EE/BE portfolio performance for 2026-2030. As such, we would naturally expect the Company to comply with those Commission mandates and move cost recovery to an existing surcharge for any other EE/BE portfolio-related costs that may not have been specifically mentioned in our testimony.

NEW STRATEGIC PROJECTS

Q. As discussed in the direct testimony of the Staff Policy Panel, maximizing affordability is a major theme in Staff's testimonial positions. Is the Panel sponsoring any adjustments intended to maximize affordability?

A. Yes. We recommend the elimination of a number of projects which were categorized as by the Company as "strategic," and which are not already underway.

Q. Please explain how the Company categorizes projects.

A. The Company typically provides greater detail about its capital and O&M projects in documents known as "whitepapers" which provide a summary of the project or program requested, including supplemental information about that project,

such as analysis of alternatives, risks of not implementing the project, financial and non-financial benefits, and interdependencies or relationships with other projects, as well as historical and forecast expenditures related to the project. For example, the documents contained in Exhibit___(SSP-4) are whitepapers for projects sponsored by the Company's Shared Services Panel, however, multiple other Panels also sponsor whitepapers for their projects and are provided in those Panels' exhibits.

Q. How are the whitepapers used to categorize projects?

A. In the "Project/Program Summary" section of each whitepaper, the Company provides, among other things, a designation for each project's "Work Plan Category" and "Status." The options for "Work Plan Category" are "Regulatory Mandated," "Operationally Required," and "Strategic." In its response to DPS-1020 the Company explains that "Regulatory Mandated" refers to projects needed to meet regulatory requirements from various regulatory bodies, of which the Commission is one of the nine entities

identified by the Company. "Operationally Required" includes critical repair work, emergency response, system capacity upgrades, and resiliency projects. "Strategic" projects refer to nearly everything else. The Company explains that its project/program managers refer to a Capital Budget Play Book and Capital Optimization Guide to help determine which category a project should be placed into.

Q. Please explain what the "Status" whitepaper category means.

A. There are three options listed in the "Status" category: "initiation/planning," "in-progress," and "on-going." In its response to DPS-1020, the Company explains that projects are included within the "initiation" stage to define a new project, or a new phase of an existing project, for the purpose of obtaining funding to start the project. The "planning" stage is required to establish the scope, objectives, and anticipated course of action of the project, and "in-progress" and "ongoing" are used interchangeably depending on whether the work is a project with a defined start and end date, or

a program which is expected to continue on perpetually. Throughout our testimony, we will refer to projects in the "initiation/planning" status as "new" projects. Further, projects which have both a "strategic" work plan category and "initiation/planning" status will be referred to as "new strategic projects."

Q. What specific new strategic projects will the Panel discuss?

A. Specifically, the new strategic projects we will discuss are as follows:

(1) the Affordable Multifamily Electrification Pilot discussed by the Company on pages 19 through 25 of the Clean Energy Solutions Panel's direct testimony, and pages 1 through 10 of Exhibit___(CES-6);

(2) the Biodiversity for Reliability, Community, and Ecological Value project (Biodiversity Project) discussed by the Company on pages 164 through 169 of Exhibit___(SSP-4);

(3) the Clean Energy Collaboration Space project discussed by the Company on pages 110 through 114 of Exhibit___(SSP-4);

(4) the Disadvantaged Communities Environmental

Justice Program (DAC/EJ Program) discussed by the Company on pages 146 through 152 of Exhibit___(SSP-4);

(5) the Ecological Build with Oysters project, or EcoBuild Oysters Project, discussed by the Company on pages 144 through 145 of Exhibit___(SSP-4);

(6) the Ecological Build with Tree Canopies project, or EcoBuild Trees Project, discussed by the Company on pages 139 through 143;

(7) the GTI Utilization Technology Development Research Collaborative project (GTI UTD Project) discussed by the Company on pages 124 through 126 of Exhibit___(SSP-4).

(8) the Living Shoreline project described by the Company on pages 153 through 159 of Exhibit___(SSP-4); and

(9) the Sustainability Exhibits project described by the Company on pages 160 through 163 of Exhibit___(SSP-4).

Q. Please summarize your adjustments related to these projects.

A. Our recommended adjustments to these projects are summarized in Exhibit___(SMIP-3). For each

project, we recommend complete elimination of associated capital costs, labor and non-labor O&M costs, and any associated FTE requests, as opposed to partial reduction of such costs. In total, our reductions to these nine projects result in a $7.300 million reduction in Rate Year CapEx, a $2.644 million reduction in Rate Year non-labor O&M, a $0.238 million reduction in Rate Year labor O&M, and a reduction of two FTEs. Because these adjustments are summarized here and shown in greater detail in Exhibit___(SMIP-3), we will not describe the adjustments on a project-by-project basis below.

Q. What is the basis for your adjustments which are common to all of these projects?

A. As previously discussed, these are new strategic projects, and therefore, are: (1) not specifically required to meet regulatory mandates; (2) not specifically required to enable continued safe and reliable operation of the Company's electric and gas distribution systems; and (3) since these are new projects, there are no immediate negative impacts on existing or ongoing projects or programs. That

is, the "cost" of elimination of these projects is the opportunity cost of Company not achieving some level of future benefits for customers associated with each project. That is, not spending money on these projects at this time improves affordability for customers, without potential impacts to the reliability of the Company's systems.

Affordable Multifamily Electrification Pilot

Q. Please describe the Affordable Multi-Family Electrification Pilot.

A. The Company is proposing a pilot program to test the cost-shifts from converting market-rate multi-family housing or Naturally Occurring Affordable Housing (NOAH) and low-income cooperative buildings to in-unit electric heating and cooling systems. Through leveraging the New York State Affordable Multifamily Energy Efficiency Program (AMEEP-E) and the Energy Affordability Program (EAP), the Company seeks to incentivize the electrification of approximately 400 units by providing bill credits to offset residents' costs post-electrification. The Company requests $4.02

million for the pilot's Operation and Maintenance (O&M) expenses. The Company proposes that the costs of the pilot's bill subsidies be recovered in future rate cases. As shown in the Company's work paper entitled 'DPS_5_291_Attachment 1. Affordable Multifamily Electrification Pilot Workpaper' in response to DPS-291, the Company expects $2.02 million in incentive dollars will be spent through the life of the pilot, which is expected to last for six years, through the end of 2031.

Q. Why has the Company requested funding for this pilot through this rate case instead of in the generic proceedings Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative, or in Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers?

A. On pages 6 and 7 of Exhibit___(CES-6) the Company states that the pilot is not in Case 18-M-0084 because it will not generate incremental energy savings and therefore not contribute to the Company's AMEEP-E proposal filed in January

2024. Additionally, the Company explains the pilot is not in Case 14-M-0565 because this case does not emphasize unregulated multi-family housing as a target of incentives and programs. The Company also states that the prevalence of unregulated multi-family housing with centralized fossil heating in the service territory also merits a Company-specific approach to cost-shifts and is further reason to not include this pilot in the generic proceeding of Case 14-M-0565.

Q. What are the goals and deliverables of this pilot?

A. On pages 3 and 4 of Exhibit___(CES-6) the Company proposes that the pilot's primary output would be a report on the energy use trends, energy costs, and living costs associated with the electrification of the pilot units. This report would inform policy decisions and provide data for formulating future bill crediting mechanisms that would incentivize electrification in NOAH and low-income cooperative housing.

Q. What are the Company's plans for the units and

buildings after the conclusion of the pilot?

A. On pages 3 and 4 of Exhibit___(CES-6) the Company states that it expects a policy or programmatic solution could be attained by the end of the pilot if not earlier. In the absence of a policy or program solution by the end of the pilot, the Company proposes extending the pilot bill credits in another rate case proceeding covering 2032 to 2035 and, if necessary, continuing to extend the pilot credits through subsequent rate proceedings in three-year increments.

Q. What does the panel recommend regarding the Affordable Multifamily Electrification Pilot?

A. We recommend that the Commission not approve this pilot for three reasons. First, on page 125 of the May 15, 2025 Order Authorizing Non-Low- to Moderate-Income Energy Efficiency and Building Electrification Portfolios for 2026-2030 in Case 18-M-0084, the Commission stated its intention that consideration of customer-facing EE/BE efforts directed by New York State Energy Research and Development Authority (NYSERDA) and the utilities be limited to

generic EE/BE proceedings instead of utility rate proceedings, and requested that utilities refrain from proposing incremental EE/BE initiatives within rate proceedings.

Q. What is the second reason?

A. Staff also recommends that the Commission find that, although NOAH and low-income cooperative housing are markets that would be essential to meeting the decarbonization goals set by the state and New York City, the pilot does not present enough viable benefits and findings to merit the amount of investment and commitments necessary to attain findings on a known phenomenon. The pilot presupposes a solution to cost-shifting that is not sustainable in the long term as it would rely on much greater funding if scaled to meet the needs of all the housing that would qualify. This pilot assumes that the only pertinent solution to cost-shifting in the relevant market segments is to credit energy bills and directly offset the costs placed on residents. This does not consider the very real need to address cost shifts through methods that prevent the

phenomenon, as opposed to increasing the number of subsidies needed to pursue decarbonization with ratepayer dollars.

Q. What is the third reason?

A. In the absence of policy and program solutions that set aside ratepayer dollars or state funding to meet subsidy costs, this pilot would result in the Department committing ratepayer dollars to the pilot buildings as means of consumer protection. The Panel recommends that the Company pursue other methods of promoting electrification in market rate and low-income cooperative buildings that offer sustainable solutions to cost-shift issues and provide better consumer protections.

Biodiversity Project

Q. Please provide a brief overview of the Biodiversity Project.

A. On pages 164-165 of Exhibit___(SSP-4), the Company explains that the Biodiversity Project is an effort to expand "green infrastructure and native vegetation" on its Company-owned property, including efforts to: (1) re-wild areas by re-planting areas with native species

of vegetation; (2) install green roofs which provide heating and cooling insulation and reduce stormwater runoff; (3) installation of bioswales to capture and convey water, and allow such water to infiltrate the ground to support vegetation; (4) installation of permeable pavement in low-traffic areas, parking lots, and walkways which provide for a load-bearing and stable surface while allowing water to infiltrate through such surface; and (5) remote monitoring.

Q. What are the costs of the Biodiversity Project?

A. As shown on page 169 of Exhibit___(SSP-4), the proposed CapEx costs for the Biodiversity Project include $1.6 million each during Rate Years 1 through 3. The Company proposes non-labor O&M costs of $0.050 million in the Rate Year, $0.100 million in Rate Year 2, and $0.150 million in Rate Year 3.

Q. Are there reasons why the Panel does not support the Biodiversity Project other than its status as a new strategic project?

A. Yes. Although the Company identified some potential financial benefits related to its

proposed Biodiversity Project on page 168 of Exhibit___(SSP-4) – for example that mowing costs would decrease after several years at a savings of approximately $1,500 per acre per year – the Company's benefit cost analysis for this project provides only an identification and qualification of potential benefits, but does not compare those benefits against the ongoing costs of the project. That is, the Company has not demonstrated that the financial benefits of the Biodiversity Project would be greater than the costs of such project over either the short- or long-term.

Q. What does the Panel recommend regarding the Biodiversity Project?

A. We recommend that the Commission not approve the Company's proposed budget for the Biodiversity Project. As shown in Exhibit___(SMIP-3), we recommend we recommend Rate Year downward adjustments of $1.600 million to the CapEx budget and $0.050 million to the non-labor O&M budget to eliminate the revenue requirement impacts of the Biodiversity Project.

Clean Energy Collaboration Space

Q. Please provide a brief overview of the Clean Energy Collaboration Space.

A. As stated on page 110 of Exhibit___(SSP-4), Con Edison proposes to transform approximately 1,500 square feet of currently unoccupied retail space on the ground floor of its 4 Irving Place headquarters into a multipurpose space large enough to accommodate between 150 and 200 people. Specifically, as stated on pages 111-112 of Exhibit___(SSP-4), the Company would use the Clean Energy Collaboration Space as a place to hold stakeholder group sessions, showcase technologies, sponsor information regarding non-profit groups, provide education and workforce development sessions, host emergency preparedness exercises, and showcase the past and continuing evolution of its energy grid.

Q. What are the costs of the Clean Energy Collaboration Space?

A. As shown on page 114 of Exhibit___(SSP-4), the Company proposes CapEx costs of $3.000 million in the Rate Year, $10.000 million in Rate Year 2, and $2.000 million in Rate Year 3, for a total of $15.000 million.

Q. Are there reasons why the Panel does not support the Clean Energy Collaboration Space other than its status as a new strategic project?

A. Yes. As shown on page 112 of Exhibit___(SSP-4), the Company has neither completed a benefit cost analysis nor identified any major financial benefits related to the Clean Energy Collaboration Space project. Further, the Company identifies that the only risk of not investing in the Clean Energy Collaboration Space at this time would be missing out on the opportunity to use the space in its headquarters. In short, there are no identified financial benefits related to an investment in the Clean Energy Collaboration Space, nor any major risks associated with canceling that planned investment.

Q. What does the Panel recommend regarding the Clean Energy Collaboration Space?

A. We recommend that the Commission not approve the Company's proposed budget for the Clean Energy Collaboration Space. As shown in Exhibit___(SMIP-3), we recommend we recommend Rate Year downward adjustments of $3.000 million

to the CapEx budget to eliminate the revenue requirement impacts of the Clean Energy Collaboration Space project.

DAC/EJ Program

Q. Please provide a brief overview of the DAC/EJ Program.

A. As described by the Company on pages 146-148 of Exhibit___(SSP-4), the DAC/EJ Program is a multi-pronged and multi-year approach for gaining insight, providing education, and effectuating outreach on topics related to utility impacts and responsibilities in disadvantaged communities. Con Edison explains that its DAC/EJ Program would begin by engaging a strategic or academic partner to develop materials to: (1) support Con Edison's internal environmental justice efforts through its Environmental Justice Working Group; (2) establish an internal Con Edison Environmental/Energy Justice Academy to train Company employees on related issues; and (3) design and pilot an Energy Clinic hosted by the Company for external stakeholders, tying in with use of Con Edison's proposed Clean Energy

Collaboration Space request.

Q. What are the costs of the DAC/EJ Program?

A. On page 152 of Exhibit___(SSP-4), Con Edison states that it forecasts non-labor O&M costs of $1.333 million per year during the Rate Year, Rate Year 2, and Rate Year 3.

Q. Are there reasons why the Panel does not support the DAC/EJ Program other than its status as a new strategic project?

A. Yes. Although the Company identifies several non-financial benefits related to the DAC/EJ Program, it does not identify any major financial benefits of the program, nor does it provide a BCA to establish whether the program would be cost-effective, as shown on page 150 of Exhibit___(SSP-4).

Q. What does the Panel recommend regarding the DAC/EJ Program?

A. We recommend that the Commission not approve the Company's proposed budget for the DAC/EJ Program. As shown in Exhibit___(SMIP-3), we recommend a Rate Year downward adjustment of $1.333 million to the non-labor O&M budget to eliminate the revenue requirement impacts of the

Clean Energy Collaboration Space project.

EcoBuild Oysters Project

Q. Please provide a brief overview of the EcoBuild Oysters Project.

A. As described by the Company on page 144-145 of Exhibit___(SPP-4), the Company proposes to use oyster reef balls along existing seawalls or shorelines at five Company-owned locations to help better protect such structures from damage caused by flooding, waves, and erosion during storm events.

Q. What are the costs of the EcoBuild Oysters Project?

A. As shown on page 145 of Exhibit___(SSP-4), the Company proposes to spend $0.500 million per year in CapEx during the Rate Year, Rate Year 2, and Rate Year 3. Con Edison proposes to spend $0.005 million and $0.010 million in non-labor O&M expense during Rate Year 2 and Rate Year 3, respectively.

Q. Are there reasons why the Panel does not support the EcoBuild Oysters Project other than its status as a new strategic project?

A. Yes. As shown on page 145 of Exhibit___(SSP-4),

the Company has not completed a BCA to determine if this project is cost-effective, nor has the Company identified any major financial benefits associated with this project.

Q. What does the Panel recommend regarding the EcoBuild Oysters Project?

A. We recommend that the Commission not approve the Company's proposed budget for the EcoBuild Oysters project. As shown in Exhibit___(SMIP-3), we recommend a Rate Year downward adjustment of $0.500 million to the CapEx budget to eliminate the revenue requirement impacts of the EcoBuild Oysters project.

EcoBuild Trees Project

Q. Please provide a brief overview of the EcoBuild Trees Project.

A. As shown on page 139 of Exhibit___(SSP-4), the Company states that the EcoBuild Trees project would plant trees on five or more Company-owned properties in or near disadvantaged communities where space is available and system and equipment operations would not be encumbered.

Q. What are the costs of the EcoBuild Trees Project?

A. As shown on page 143 of Exhibit___(SSP-4), the Company proposes to spend $0.700 million per year in CapEx during the Rate Year, Rate Year 2, and Rate Year 3. Con Edison proposes to spend $0.005 million and $0.010 million in non-labor O&M expense during Rate Year 2 and Rate Year 3, respectively.

Q. Are there reasons why the Panel does not support the EcoBuild Trees project other than its status as a new strategic project?

A. Yes. As shown on page 142 of Exhibit___(SSP-4), the Company has not completed a BCA to determine if this project is cost-effective, nor has the Company identified any major financial benefits associated with this project.

Q. What does the Panel recommend regarding the EcoBuild Trees Project?

A. We recommend that the Commission not approve the Company's proposed budget for the EcoBuild Trees project. As shown in Exhibit___(SMIP-3), we recommend a Rate Year downward adjustment of $0.700 million to the CapEx budget to eliminate the revenue requirement impacts of the EcoBuild Trees project.

GTI UTD Project

Q. Please provide a brief overview of the GTI UTD Project.

A. As stated by the on page 124 of Exhibit___(SSP-4), the GTI UTD Project is an annual fee to participate in the Utilization Technology Development Research Collaborative administered by GTI Energy. The Company states that the GTI UTD Project would provide opportunities for the Company to work on developing new technologies to help decarbonize its gas system and reduce gas utilization. Con Edison states that a major benefit of participating in the GTI UTD Project is that research projects can be tailored to address specific issues and requirements in member utilities' service territories.

Q. What are the costs of the GTI UTD Project?

A. As shown on page 126 of Exhibit___(SSP-4), the Company proposes to spend $0.350 million per year in non-labor O&M expense in each of the Rate Year, Rate Year 2, and Rate Year 3.

Q. Are there reasons why the Panel does not support the GTI UTD Project other than its status as a new strategic project?

A. Yes. As shown on page 125 of Exhibit___(SSP-4), Con Edison has not completed a BCA, has not identified any major financial benefits of the project, nor has it identified any risks associated with not moving forward with the project.

Q. What does the Panel recommend regarding the GTI UTD Project?

A. With no financial benefits identified, no BCA demonstrating cost-effectiveness, and no risks associated with not engaging with the GTI UTD Project, we recommend that the Commission not approve the Company's proposed budget for the GTU UTD Project. As shown in Exhibit___(SMIP-3), we recommend a Rate Year downward adjustment of $0.350 million to the non-labor O&M budget to eliminate the revenue requirement impacts of the GTI UTD project.

Living Shoreline

Q. Please provide a brief overview of the Living Shoreline project.

A. As shown on pages 153-154 of Exhibit___(SSP-4), the Company proposes to protect assets at four Company-owned properties along coastlines. The

Company explains that natural shorelines are a nature-based coastal protection scheme that uses natural materials such as plants, rocks, and shells to protect and stabilize shorelines, instead of installing hard shorelines such as concrete seawalls or bulkheads.

Q. What are the costs of the Living Shoreline project?

A. As shown on page 159 of Exhibit___(SSP-4), the Company proposes to spend $1.500 million per year in CapEx during the Rate Year and Rate Year 2 and proposes to spend $0.150 million in non-labor O&M expense in Rate Year 3.

Q. Are there reasons why the Panel does not support the Living Shoreline project other than its status as a new strategic project?

A. Yes. As shown on pages 157 to 158 of Exhibit___(SSP-4), although Con Edison does identify several financial benefits associated with the Living Shoreline project, it has not completed a BCA to demonstrate that the project is cost-effective – that is, whether the benefits of the Living Shoreline project exceed the costs.

Q. What does the Panel recommend regarding the Living Shoreline project?

A. We recommend that the Commission not approve the Company's proposed budget for the Living Shoreline project. As shown in Exhibit___(SMIP-3), we recommend a Rate Year downward adjustment of $1.500 million to the CapEx budget to eliminate the revenue requirement impacts of the Living Shoreline project.

Sustainability Exhibits

Q. Please provide a brief overview of the Sustainability Exhibits project.

A. As described by the Company on pages 160-161 of Exhibit___(SSP-4), the Sustainability Exhibits are a series of 12 interactive exhibits which would be developed and installed at The Learning Center, Con Edison's training facility in Astoria. According to the Company, the Sustainability Exhibits would creatively educate visitors to The Learning Center about a wide range of utility-related topics including electric vehicles, energy storage, green buildings, climate change, and the Climate Leadership and Community Protection Act, among

others.

Q. What are the costs of the Sustainability Exhibits project?

A. As shown on page 163 of Exhibit___(SSP-4), the Company proposes to spend $0.500 million per year in non-labor O&M expense during the Rate Year and Rate Year 2.

Q. Are there reasons why the Panel does not support the Sustainability Exhibits project other than its status as a new strategic project?

A. As shown on page 162 of Exhibit___(SSP-4), Con Edison has not completed a BCA, has not identified any major financial benefits of the project.

Q. What does the Panel recommend regarding the Sustainability Exhibits project?

A. We recommend that the Commission not approve the Company's proposed budget for the Sustainability Exhibits. As shown in Exhibit___(SMIP-3), for the Rate Year we recommend a downward adjustment of $0.500 million to the non-labor O&M budget to eliminate the revenue requirement impacts of the Sustainability Exhibits.

CARE PROGRAM

Q. Please explain the Company's CARE Program.

A. As described on page 37 of the Company's IT Panel initial testimony, the Company expects that the CARE Program will provide an improved clean energy digital experience through a suite of tools to facilitate decision-making, accelerate clean energy technology adoption, and support State and City climate and clean energy goals.

Q. What tools does the Company's CARE Program currently offer?

A. As described on page 38 of the Company's IT Panel initial testimony, since its inception in 2023, the CARE Program launched a consolidated and searchable energy efficiency rebate experience, deployed a customer scheduling tool for electric vehicle site assessments, and redesigned clean energy program web pages for several Con Edison programs. Additional efforts underway include centralizing contractor resources, developing tools to guide customers through alternative rate options, and continuing redesign of clean energy program web pages.

Q. What additional tools does the Company

anticipate adding to the CARE Program?

A. As described on page 38 of the Company's IT Panel initial testimony, the Company anticipates including an electrification experience that will guide customers through the electrification process, and clean energy customer service tools to support Company employees who advise and respond to customer inquiries.

Q. What CARE Program capital expenditures has the Company forecasted for the Rate Year?

A. As described on page 39 of the Company IT Panel testimony, the Company is forecasting capital expenditures for the CARE Program in the amount of $18.51 million in the Rate Year.

Q. What CARE Program O&M expenditures have the Company forecasted for the Rate Year?

A. As calculated using data provided in Attachment 1 of the Company's supplemental response to DPS-440, the Company forecasts CARE Program O&M expenditures of $7.92 million in the Rate Year.

Q. How does the company propose to allocate the CARE Program O&M and capital costs?

A. As shown in the 'CES Program Change' tab of Company workpaper 'AP-EG3 Schedule 6 Customer

Energy Solutions', included in Exhibit___(SMIP-4), the Company proposes to allocate 100 percent of the CARE Program O&M costs to electric customers. However, the Company has classified the CARE Program as a Common Plant investment, which as described on page 103 of the Company's Accounting Panel initial testimony uses a common plant split factor where 83 percent of the capital costs are allocated to electric customers and 17 percent to gas customers.

Q. Does the Panel recommend any modifications to Company's CARE Program proposal?

A. Yes, the Panel recommends four modifications. First, we recommend an adjustment to lower the Company's proposed capital budget for the Rate Year. Second, we recommend an adjustment to lower the Company's proposed O&M budget for the Rate Year. Third, we recommend that the Company allocate the O&M cost of the CARE Program towards both electric and gas customers based on the Customer Operations Common Allocation Expense Factor. Fourth, we recommend a downward-only reconciliation for CARE Program O&M costs.

Q. Prior to discussing the Panel's modifications to the CARE Program budgets, is there any context regarding the CARE Program which would be helpful to provide?

A. Yes. The scope of work included under the CARE Program has shifted over time, which in turn underlies two of our recommended modifications to the CARE Program budgets.

Q. How has the CARE Program scope changed over time?

A. The CARE Program was originally named the Customer Analysis and Recommendation Tools project, discussed on page 77 of the 2023 Rate Order, and renamed to CARE as part of the Company's proposal in the instant proceedings. One of the facets of the CARE Program during the current Rate Plan includes the Building Energy Usage Portal (BEUP) project which the Company now proposes to separate out into its own project and budget line-item as part of its proposals in the instant proceeding – the Company provides the planned scope of its BEUP on pages 36-37 of Exhibit___(IT-5), and notes its plans to separate the BEUP functionality

from other programs on page 37 of Exhibit___(IT-5). Two of our adjustments to the CARE Program budgets stem from the Company's proposed separation of BEUP project from the CARE Program.

Q. Why does the Panel recommend a lower CARE Program capital budget than what the Company proposed for the Rate Year?

A. There are two reasons to adjust the capital budget for the CARE Program. First, the CARE Program capital budget should be adjusted to account for the change in scope resulting from separation of the BEUP project. Second, the CARE Program budget capital should be reduced to reflect a level of contingency in line with historical performance.

Q. Why should separation of the BEUP project from the CARE Program result in an adjustment to the CARE Program capital budget?

A. As discussed above, the Company explains on page 38 of Exhibit___(IT-5) that "[t]he initial work to build the [BEUP] was under the umbrella of the ... CARE project. Actual spend from that scope of work informed the cost and effort

estimates used to create the financial plans for this [BEUP] program." According to the Company's response to DPS-675, the Company incurred $4,746,000 of capital costs associated with the BEUP program, while it was under the CARE Program umbrella in the historic test year (HTY). That is, the Company established its estimate of forecast BEUP costs during the Rate Year based on the BEUP-related portion of historic CARE Program costs during the Rate Year. Accordingly, the Company requests a separate budget for the BEUP project going forward, and also requests forecast CARE Program funding based on its CARE Program historic costs, which include the historic costs of the BEUP project. Since the BEUP program is no longer under the CARE Program umbrella, historic BEUP-related capital expenditures should be removed from the CARE Program's HTY costs as the basis for the forecasted CARE Program capital budget.

Q. What adjustment to the CARE Program forecast capital budget do you recommend correcting for the separation of BEUP project from the CARE

Program?

A. We recommend that the CARE Program capital budget be reduced by the $4,746,000 of HTY expenditures associated with the BEUP project provided in the Company's response to DPS-675.

Q. Turning to the second adjustment to the CARE Program capital budget, please explain what contingency is.

A. Contingency is a level of capital expenditure added to the expected costs of a project to provide a cushion for unanticipated cost-overruns. In the event that a project does not overrun its cost, any un-used contingency would not be booked to net plant in service and could be returned to ratepayers under the terms of the applicable Net Plant in Service Reconciliation Mechanism.

Q. Why should the contingency portion of the CARE Program budget be adjusted?

A. According to the Company's supplemental response to DPS-440, the Company's CARE Program capital budget for the Rate Year contains $3.1 million of contingency funding, however, according to the Company's response to DPS-797, the Company

budgeted a significantly smaller annual contingency funding level of $1.3 million for both calendar years 2023 and 2024. As reported in its Q4 2024 Customer Recommendation and Analysis Tools Progress Report filed in DMM on February 28, 2025, in Cases 22-E-0064 and 22-G-0065, the Company was successfully able to underspend its combined 2023 and 2024 CARE Program capital budget. Since the Company did not spend the full amount of the annual contingency budget of $1.3 million between 2023 and 2024, we recommend that the Company's proposed substantially higher contingency budget during the Rate Year be reduced.

Q. Does the Panel recommend completely eliminating the contingency portion of the CARE Program capital budget?

A. No, we recommend that the CARE Program capital contingency budget be reduced to its previous level of $1.3 million, instead of being eliminated entirely.

Q. What is your recommendation regarding the CARE Program capital contingency budget?

A. We recommend that the CARE Program's contingency

budget be reduced by $1.8 million, from $3.1 million to $1.3 million for the Rate Year.

Q. Please summarize the adjustments to the CARE Program capital budget that the Panel recommends for the Rate Year?

A. The Panel recommends a CARE Program capital budget of $11,959,000 for the Rate Year, which is a $6,546,000 reduction from what the Company proposed in its supplemental response to DPS-440. The $6.546 million reduction is the sum of the $4.746 million reduction associated with separating the BEUP project from the CARE Program, and the $1.800 million reduction in CARE Program contingency, as discussed above.

Q. Why does the Panel recommend a lower CARE Program O&M budget than the Company proposed for the Rate Year?

A. As previously mentioned, the Company explains on page 38 of Exhibit___(IT-5) that the BEUP was initially built under the umbrella of the CARE project, and actual spend from that scope of work informed estimates used to create the financial plans for the BEUP program. According to the Company's response to DPS-675, the

Company incurred $1,159,000 of O&M costs associated with the BEUP program while it was under the CARE Program umbrella in the HTY. Since the BEUP program is no longer under the CARE Program umbrella, these O&M expenditures should be removed from the program's forecasted O&M budget since the budget was built off the HTY O&M expenditures which included O&M expenditures associated with the BEUP project.

Q. Does the Panel recommend any other adjustments to the CARE Program Rate Year O&M budget?

A. Yes. We recommend a downward adjustment to the Company's requested O&M labor budget for the Rate Year.

Q. What CARE Program O&M labor budget did the Company propose for the Rate Year?

A. As calculated using data provided in the Company's supplemental response to DPS-440, the Company proposed a CARE Program O&M labor budget of $1,139,140 for the Rate Year.

Q. Why is the Panel recommending a reduction to the Company's proposed CARE Program Rate Year O&M labor budget?

A. The Panel is recommending downward adjustment to

the Company's proposed CARE Program Rate Year O&M labor budget because it is about 3.5 times higher than the approximately $317,000 that the CARE Program incurred in the HTY, according to the Company's supplemental response to DPS-440. While the Panel believes that the Company may need incremental funding for CARE Program O&M labor than what was incurred in the HTY, the Company's response to DPS-798, which asked the Company to justify the substantially increased O&M labor request, did not adequately substantiate the magnitude of the funding increase.

Q. What adjustment to the Company's proposed CARE Program O&M labor budget is the Panel recommending for the Rate Year?

A. We recommend a reduction of $278,000 to the Company's proposed CARE Program O&M labor budget for the Rate Year.

Q. How did the Panel develop its adjustment?

A. The Panel removed the Company's proposed incremental CARE Program Section Manager 3L position and one of the incremental Senior Specialist position salaries from the revenue

requirement for the Rate Year. However, the Panel is more concerned with the overall O&M labor budget than it is with the positions of the FTEs working on the CARE Program, therefore we recommend that the Commission authorize the Company to allocate the remaining O&M labor budget across any position that it finds more suitable.

Q. What CARE Program O&M budget is the Panel recommending for the Rate Year?

A. The Panel recommends a CARE Program O&M budget of $6,487,000 for the Rate Year, which is a $1,437,000 reduction from what the Company proposed in its supplemental response to DPS-440.

Q. How did the Panel develop the recommended CARE Program O&M budget for the Rate Year?

A. The Panel reduced the Company's proposed CARE Program O&M budget of $7,924,000, as proposed in its supplemental response to DPS-440, by the $1,159,000 of HTY O&M expenditures associated with the BEUP project and also reduced the Company's proposed O&M labor budget for the Rate year by $278,000, as discussed above.

Q. Why does the Panel recommend splitting the CARE Program O&M costs between the electric and gas businesses based on the Customer Operations Common Allocation Expense Factor, as described by the Company on page 66 of its Accounting Panel initial testimony, allowing for 85% allocation to electric customers and 15% to gas customers?

A. The first reason why the Panel recommends the CARE Program O&M cost split between electric and gas is that the CARE Program will also benefit gas customers as it will help enable gas energy efficiency programs. Second, the Company allocated the CARE Program capital costs between electric and gas – accordingly, O&M costs should be allocated in the same manner.

Q. Why does the Panel recommend a downward-only reconciliation for the CARE Program O&M budget?

A. We have two reasons. First, as shown in Con Edison's Q4 2024 Customer Recommendation and Analysis Tools Progress Report, filed in DMM in Case 22-E-0064 on February 28, 2025, the Company had only spent $5.11 million of its $10.50 million 2023 and 2024 total authorized O&M

budget. Fundamentally, customers should not be paying for expenses that the utility does not incur, and imposition of a reconciliation mechanism will ensure that the Company preserves any unspent funds for customers if the Company underspends its O&M budget.

Q. What is the second reason that the Panel is recommending a downward-only reconciliation for its recommended CARE Program O&M budget?

A. Second, not only does the Panel want to ensure that customers are not paying for services that are not provided, but we also want to make sure that money designated for this project is being spent on this project specifically. The Company explains on page 61 of Company Exhibit___(IT-5) that the CARE Program will help empower customer engagement in the Company's clean energy programs and support New York State's climate and renewable energy goals. To the extent that the Commission approves funding for the CARE Program on the basis that it will help meet State clean energy and policy goals, we want to ensure that the requested money is indeed spent assisting the Company in achieving those goals

instead of being allocated to other projects within the Company's fungible O&M project budget.

CLEAN ENERGY SUPPORT (LEGAL)

Q. Please describe Con Edison's proposed Clean Energy Support project.

A. As described on pages 249 to 250 of Exhibit___(SSP-4), Con Edison's Clean Energy Support project includes a proposal to hire 13 incremental FTEs within the Company's Law Department –composed of five paralegals, one project manager, and attorneys making up the remaining seven positions.

Q. Does the Company explain why these incremental positions are needed?

A. On page 249 of Exhibit___(SSP-4), the Company asserts that there has been a significant increase in the number and complexity of clean energy-related issues at both the State and federal level. Regarding the Company's request for incremental attorneys, Con Edison states that it needs resources to complete contracting on interconnection agreements between the Company and customers, as well as with more

general construction-related contracts, as shown on page 250 of Exhibit___(SSP-4). Beyond contracting work, Con Edison also states that it needs additional attorneys to assist with other regulatory initiatives - such as interconnections, electrification, electric vehicles, thermal energy networks, and energy storage - and related filings and reporting.

Q. What is the Company's rationale for requesting additional paralegals?

A. On page 250 of Exhibit___(SSP-4), the Company states that it currently assigns some work to its attorneys that is traditionally done by paralegals, and that it can minimize the number of new attorneys it is requesting by transitioning these responsibilities to paralegals instead.

Q. What is the Company's rationale for requesting a project manager?

A. On page 250 of Exhibit___(SSP-4), Con Edison explains that the Project Manager would oversee the Law Department's efforts to comply with the CLCPA, and would be responsible for planning, organizing, and overseeing clean energy

projects.

Q. What are the costs of the Clean Energy Support project?

A. As shown on page 252 of Exhibit___(SSP-4), the Company proposes incremental labor O&M expense of $1.900 million per year for each of the Rate Year, Rate Year 2, and Rate Year 3. The Company's labor O&M workpaper titled "AP-3 Sch6 Various Company Labor Lines – Update Filing 202504018.xlsx" submitted in response to DPS-867 also provides detailed information regarding the costs of the Clean Energy Support FTEs.

Q. Do the labor O&M workpapers match the Company's forecast costs on page 252 of Exhibit___(SSP-4)?

A. Not quite. The workpapers state that the Company plans to hire the seven attorneys at an annual labor rate of $200,000 per year, the five paralegals at an annual labor rate of $100,000 per year, and the project manager at an annual labor rate of $160,000 per year. Further, the Clean Energy Support FTEs will be allocated among Con Edison's businesses in the proportion of approximately 72 percent to the electric business, 15 percent to the gas business, six

percent to the steam business, and the remainder would be allocated to Con Edison's sister utility, O&R. The workpapers demonstrate that during the Rate Year, approximately $1.088 million in labor costs would be allocated to the electric business, approximately $0.224 million would be allocated to the gas business, approximately $0.090 million would be allocated to the steam business, and approximately $0.115 million would be allocated to O&R – summing these up results in $1.517 million in costs during the Rate Year, of which $1.402 million is for Con Edison. In short, there is approximately $0.498 million breakage between the Company's $1.900 million request on page 252 of Exhibit___(SSP-4) and the workpapers. This does not require a specific adjustment, however, since the workpapers reflect the actual costs in the revenue requirement model, whereas the figures shown in Exhibit___(SSP-4) do not.

Q. Is there a similar breakage in Company's request for Rate Year 2 and Rate Year 3?

A. No. The workpapers demonstrate that there are total Clean Energy Support labor costs of $2.060

million, of which $1.902 million is allocated to Con Edison. Therefore, for Rate Year 2 and Rate Year 3, the workpapers closely match the $1.900 million annual request on page 252 of Exhibit___(SSP-4).

Q. How many employees does the Company presently have assigned to Clean Energy Support?

A. In response to DPS-947 the Company states that it currently has three regulatory attorneys "who provide Clean Energy Support in addition to their core assignments" and four transactional attorneys "with dedicated assignments focusing on energy efficiency and clean energy-related work." The Company also notes that two other regulatory attorneys and four other transactional attorneys "occasionally" provide support as needed for clean energy-related work, in addition to their core assignments. Further, the Company notes that it currently has five paralegals who provide support for clean energy-related work "as needed, in addition to their core assignments." Con Edison states that it presently does not have a project manager to oversee this work. To put it differently, the

Company presently has four attorneys who provide dedicated support for clean energy-related work, three attorneys and five paralegals that provide some level of support for clean energy-related work in addition to other core duties, and five attorneys that provide occasional support for clean energy-related work in addition to other core duties.

Q. Can the Panel translate the Company's present staffing level in terms of FTEs dedicated to Clean Energy Support?

A. There are four attorney FTEs dedicated to Clean Energy Support, somewhere between zero and nine FTEs-worth of labor provided by attorneys that are not primarily dedicated to Clean Energy Support, and somewhere between zero and five FTEs-worth of labor provided by paralegals that are not primarily dedicated to Clean Energy Support – in total, somewhere between four FTEs at minimum and 15 FTEs at maximum. If we conservatively estimate that each employee who provides Clean Energy Support "in addition to their core assignments" provides about one-third of an FTE's worth of labor for Clean Energy

Support, and that each employee who provides Clean Energy Support "occasionally" provides about one-fifth of an FTE's worth of labor for Clean Energy Support, the total amount of FTEs assigned to Clean Energy Support work would be approximately seven.

Q. What is the basis for the Panel's one-third and one-fifth estimates for employees that provide part of their time toward Clean Energy Support functions?

A. One-third represents a substantial portion of an employee's time without crossing the threshold into becoming an employee's "core assignment." Similarly, one-fifth represents a small, but not inconsequential portion of an employee's time, fitting with the description of providing "occasional" support. In developing these proportions, we relied on our experience and judgement to determine practical estimates based on the descriptions provided by the Company.

Q. Why was it necessary for the Panel to rely on its own judgement to estimate the proportions of time spent by employees providing Clean Energy Support functions?

A. As shown in the Company's response to DPS-947, Con Edison objected to answering Questions 8 through 11, which requested information about the amount of work that Con Edison's current employees could allocate to paralegals and the project manager. If answered, the Company's responses to those questions may have provided a more specific estimate of the proportion of employee time spent providing Clean Energy Support functions. In the absence of better evidence, we had to rely on our own experience and judgement to estimate these proportions.

Q. How does the Company's request for incremental Clean Energy Support FTEs compare with the various measures of the FTEs the Company presently has assigned to this area?

A. The Company's request to hire 13 incremental FTEs – seven attorneys, five paralegals, and one project manager – would more than triple the minimum estimation of the Company's current Clean Energy Support FTEs, would be one fewer than double our estimate of seven current Clean Energy Support FTEs, and would be slightly lower than the maximum estimation of the Company's

current Clean Energy Support FTEs. If the Company's 13 incremental FTE request were approved, it would have approximately 20 FTEs providing Clean Energy Support during the Rate Year, just under triple our estimate of seven FTEs currently.

Q. Are there other ways in which the Company's rationale for its request is of concern to the Panel, indicating that it may be deficient?

A. Yes. On page 249 and 250 of Exhibit___(SSP-4), the Company explains that its attorneys presently do some work that would traditionally be performed by paralegals. On page 249 of Exhibit___(SSP-4), the Company states that "with the previously noted increase in regulatory work, this short-term arrangement has become untenable for attorneys and some of this work has shifted to the paralegal group."

Q. Has the Company quantified how much of its attorneys work could be offloaded to paralegals or the project manager?

A. No. In its response to DPS-947, the Company objected to our discovery request seeking information to quantify how much work its

attorneys presently do which could be allocated to the new paralegals and the new project manager. Instead, the Company simply asks us to trust it that "there is a small amount of work which could be transferred" to either the paralegals or the project manager. In short, the Company argues that it needs more paralegals to do work that is currently assigned to attorneys but refuses to provide any detail as to how much of that work could actually be transferred. Along the same lines, the Company notes in its response to DPS-947 that "it would be more costly for the Company to retain outside counsel to handle the increasing Clean Energy work" than its proposal to hire incremental attorneys, paralegals, and the project manager; however the Company also states that it has not performed a cost benefit analysis regarding its proposal. The Company would have us believe that there are significant costs of not implementing its proposal but it has not bothered to compare such potential costs against the costs of its proposal.

Q. Does the Panel recommend any adjustments to the

Clean Energy Support project?

A. Yes. Although we recognize the increase in clean energy-related proceedings, it is unreasonable to approximately triple our estimate of the current number of FTEs assigned to Clean Energy Support, especially given the deficient rationale supplied by the Company as previously discussed. Instead, to maximize affordability for customers while providing reasonable support for Con Edison to meet its obligations under the CLCPA and engage in the Commission's various ongoing clean energy and policy proceedings, we recommend a partial adjustment to the Company's request. Specifically, we recommend that the Commission reject the Company's proposal to hire seven new attorneys, but approve funding for the Company to hire the paralegals and the project manager it requests.

Q. Explain your rationale for this adjustment.

A. This arrangement minimizes costs to customers by favoring increases to paralegal FTEs, whose salary rates are approximately one-half of the salary of an attorney, while also providing

additional resources for the Company in terms of both providing additional FTEs to support clean energy topics and allowing current attorneys to offload at least some of their present duties to the new paralegals and project manager.

Q. What budget does the Panel recommend for the Clean Energy Staffing project?

A. We recommend that five paralegals at a labor rate of $100,000 per year and one project manager at a labor rate of $160,000 per year, resulting in a total budget of $0.660 million. The total budget would then be allocated to the Company's electric business in the amount of $0.474 million, the gas business in the amount of $0.147 million, and the steam business in the amount of $0.039 million, with the remaining $0.050 million to be allocated to O&R. These budgets result in a downward adjustment during the Rate Year of $0.614 million for the electric business, and $0.097 million for the gas business. These adjustments are reflected in Exhibit___(SMIP-3). Adjustments for Con Edison's steam business and for O&R are beyond the scope of these proceedings.

NEW YORK CAP AND INVEST RESOURCES

Q. Please provide a description of the Company's request regarding the New York Cap and Invest (NYCI) initiative.

A. On page 32 of the Company's Electric Supply Panel testimony, the Company requests one FTE to support the NYCI initiative. The Company explains that it anticipates that it will be subject to a carbon cap from the NYCI initiative, and that its Energy Management group will be responsible for managing activities to comply with the requirements under the NYCI initiative.

Q. Please describe the NYCI initiative.

A. Under the NYCI initiative, the New York State Department of Environmental Conservation (DEC) and NYSERDA would design a program to set an annual cap on greenhouse gas emissions, and use revenues from sales of emissions permits to invest in decarbonization strategies in New York. Additional information can be found at capandinvest.ny.gov.

Q. Has the Cap and Invest program been already been approved or implemented?

A. No. At the time of this testimony, neither the DEC nor NYSERDA have made their formal rulemaking proposals to establish the annual emissions cap or the auction mechanism for selling emissions permits. Because the DEC and NYSERDA have not made their formal proposals yet, we cannot know when approval of the NYCI initiative could potentially occur. Further, we cannot know, at this time, when the NYCI initiative, if and when it is approved, would actually go into effect.

Q. What costs are associated with the Company's proposal?

A. Although the Company's Electric Supply Panel states that it requests one FTE, ins labor workpaper titled "AP-3 Sch6 Various Company Labor Lines – Update Filing 20250408.xlsx" submitted in response to DPS-867, instead includes funding for two Senior Analyst positions, at a labor rate of $125,000 per year. According to the labor workpapers, the sum of the labor costs for these two FTEs - $0.250 million per year – would be allocated between Con Edison's electric, gas, and steam businesses

at proportions of approximately 72 percent, 15 percent, and six percent, respectively, with the remainder allocated to O&R. This equates to Rate Year labor O&M costs of $0.180 million for the electric business and $0.037 million for the gas business. Amounts allocated to Con Edison's steam business and to O&R are beyond the scope of the instant proceedings.

Q. Does the Panel have recommendations regarding the NYCI FTEs?

A. Yes. We recommend that the Commission deny the Company's request for the NYCI FTEs. The Company's proposal to hire these FTEs is premature, at present, given that the NYCI initiative has not been finalized and Con Edison's responsibilities and requirements to manage those responsibilities under the NYCI are unknown at this time. Therefore, we recommend that the impact of the NYCI FTEs be adjusted out.

Q. What adjustment does the Panel recommend?

A. For the electric business, we recommend a downward adjustment to Rate Year labor O&M costs of $0.180 million, to a total budget of zero.

For the gas business, we recommend downward adjustment to Rate Year labor O&M costs of $0.037 million, to a total budget of zero. We recommend a reduction in the Company's labor headcount of 2 FTEs. These adjustments are summarized in Exhibit___(SMIP-3).

EV CHARGING EXPANSION AND VEHICLE REPLACEMENTS

Q. Please briefly summarize the Company's Vehicle Replacement Program and EV Charging Expansion Program.

A. The "XM2 – Vehicle Replacement Program" described by the Company on pages 5-10 of Exhibit___(SSP-4-UpD) (Vehicle Replacement Program), and EV Charging Expansion and Clean Energy Support program described by the Company on pages 84-89 of Exhibit___(SSP-4) (EV Charging Expansion Program) are interconnected projects to simultaneously replace and expand the Company's existing fleet of vehicles with battery electric or plug-in hybrid electric vehicles and provide adequate charging stations and facilities to ensure those vehicles are charged and ready for duty. The Company explains on page 9 of Exhibit___(SSP-4-UpD) and

89 of Exhibit___(SSP-4) that these projects are linked – the Vehicle Replacement Program needs additional charging infrastructure to move forward, and the EV Charging Expansion Program needs are dependent on expansion of the Company's fleet of EVs.

Q. Please provide some background information regarding the fleet electrification plans.

A. The Company notes on page 5 of Exhibit___(SSP-4-UpD) that it currently owns approximately 4,400 vehicles. On pages 5-6 of Exhibit___(SSP-4-UpD) the Company states that it began transitioning these vehicles from fossil fuel vehicles to electric vehicles beginning in 2020. The Company states on page 84 of Exhibit___(SSP-4) that as of November 2024 it has 654 plug-in light-duty EVs and 161 charging ports in operation, with additional charging ports already under construction to bring the 2025 total to 260 charging ports. On pages 5-6 of Exhibit___(SSP-4-UpD) the Company states that 100 percent of its new vehicle purchases will be electric vehicles going forward, building toward a corporate goal of having a 100 percent

electric light-duty fleet by 2035. The Company notes that purchases of EVs will require additional funding compared to historic levels due to higher costs of EVs.

Q. Please summarize the Company's proposal regarding the Vehicle Replacement Program.

A. As shown on page 6 of Exhibit___(SSP-4-UpD), the Vehicle Replacement Program is essentially four parts: (1) replacement of existing fleet vehicles; (2) additions of new fleet vehicles; (3) replacement of existing emergency generators; and (4) labor resources to support the Automotive Engineering and Garage Operations section.

Q. What are the costs and activities associated with replacement of the existing fleet?

A. As shown on page 6 of Exhibit___(SSP-4-UpD), the Company proposes to replace 2,502 existing vehicles between 2026 and 2028, at a three-year capital cost of $421.436 million. During the Rate Year, the Company proposes to replace 747 vehicles at a CapEx cost of $122.771 million. During 2027, the Company proposes to replace 868 vehicles at a CapEx cost of $144.686 million.

During 2028, the Company proposes to replace 887 vehicles at a CapEx cost of $153.979 million.

Q. What are the costs and activities associated with fleet additions?

A. As shown on page 6 of Exhibit___(SSP-4-UpD), the Company proposes to add 408 new vehicles to its fleet between 2026 and 2028, at a three-year capital cost of $183.2 million. The Company's fleet addition plans are further described in its response to DPS-747, included in Exhibit___(SMIP-1). Combining cost data provided on page 6 of Exhibit___(SSP-4-UpD) and vehicle counts provided in Attachment 6 to DPS-747, the Company proposes to add 139 vehicles to its fleet at a CapEx cost of $21.427 million during the Rate Year; 122 vehicles at a CapEx cost of $40.87 million during 2027; and 156 vehicles at a CapEx cost of $120.9 million during 2028.

Q. What are the costs and activities associated with mobile generator replacements?

A. As shown on page 6 of Exhibit___(SSP-4-UpD), the Company proposes to replace 14 portable mobile generators between 2026 and 2028, at a three-

year capital cost of $49.000 million. During the Rate Year, the Company proposes to four mobile generators at a CapEx cost of $14.000 million. During 2027, the Company proposes to replace five mobile generators at a CapEx cost of $17.500 million. During 2028, the Company proposes to replace 5 mobile generators at a CapEx cost of $17.500 million.

Q. What are the costs and activities associated with labor support for the Automotive Engineering and Garage Operations section?

A. As shown on pages 6 and 10 of Exhibit___(SSP-4-UpD), the Company requests 16 total FTEs, at a total CapEx cost of $2.078 million, to support various fields in the Automotive Engineering and Garage Operations. The Company provides additional detail in its response to DPS-747. During the Rate Year, the Company proposes to hire 2 FTEs at a labor CapEx cost of $312,000. During 2027, the Company proposes to the Company proposes hire 6 FTEs at a labor CapEx cost of $936,000. During 2028, the Company proposes to the Company proposes hire 2 FTEs at a labor CapEx cost of $312,000.

Q. Please summarize the Company's proposal regarding the EV Charging Expansion Program.

A. There are four principal activities included in the EV Charging Expansion Program: (1) installation of EV charging ports, a majority of which will be dedicated to charging Company fleet vehicles with the remainder made available to support employee vehicle charging at Company work facilities; (2) installing utility service upgrades at all 13 major Company workout facilities and seven satellite offices to enable interconnection of the new charging equipment; (3) implementation of a centralized charger management platform to simultaneously allow control, monitoring, data analysis, and management of chargers across multiple charging hardware vendors; and (4) incremental labor support to scale and manage the Company's charging sites.

Q. How many charging ports does the Company plan to install as part the EV Charging Expansion Program?

A. As shown on page 85 of Exhibit___(SSP-4), between 2026 and 2028 the Company proposes to

install a total 41 direct current fast charging (DCFC) ports; 737 level 2 charging ports for fleet charging; and 58 level 2 charging ports for employee workplace charging, for a total of 836 EV charging ports in addition to the 260 ports the Company already has planned or operational through 2025.

Q. What are the costs associated with the EV Charging Expansion Program?

A. As shown on page 89 of Exhibit___(SSP-4), the Company proposes three-year CapEx costs of $171.820 million, and three-year O&M costs of $3.957 million. During the Rate Year, the Company proposes to spend $55.300 million in CapEx and $1.251 million in O&M. During 2027, the Company proposes spending $57.319 million in CapEx and $1.284 million in O&M. During 2028, the Company proposes to spend $59.201 million in CapEx and $1.422 million in O&M.

Q. How do the Company's plans to electrify its fleet compare to New York State transportation electrification goals and requirements?

A. Con Edison's fleet electrification plans are far ahead of the State's goals and requirements.

For example, Con Edison's existing plan to purchase only EVs to replace fleet vehicles is approximately 10 years ahead of the DEC's 2035 Advanced Clean Cars II requirement for all new passenger cars and light-duty trucks sold to be zero-emissions. Similarly, Con Edison's plans to electrify its medium- and heavy-duty fleet are well ahead of the DEC's Advanced Clean Trucks requirement for new medium- and heavy-duty vehicles for sale, lease, or registered in New York to be zero emission by 2045.

Q. How does the funding the Company requests in its proposed Vehicle Replacement Program compare to expenditures in prior years?

A. As shown on page 25 of Exhibit___(SSP-4), the Company proposes to spend $77.000 million during on its Vehicle Replacement Program during 2025. The Company's requested CapEx budget during the Rate Year is approximately double the CapEx budget for 2025. The Company's requested CapEx budget during 2027 is approximately 2.5 times the CapEx budget for 2025. The Company's requested CapEx budget during 2028 is approximately 3.5 times the CapEx budget for

2025.

Q. What does the Panel recommend?

A. We recommend downward adjustments to Company's requested CapEx and O&M funding the EV Charging Expansion Program.

Q. Does the Panel also recommend adjustments to the Company's Vehicle Replacement Program?

A. As noted on page 89 of Exhibit___(SSP-4) and page 9 of Exhibit___(SSP-4-UpD), there is a direct relationship and project interdependency between its Vehicle Replacement and EV Charging Expansion Programs. However, adjustments to the Vehicle Replacement Program are being sponsored by the Staff Shared Services Panel in their direct testimony. Therefore, our recommendations will be limited to the EV Charging Expansion Program.

Q. Please summarize your adjustments to the Company's EV Charging Expansion Program costs.

A. We recommend a downward O&M adjustment of $1.251 million in 2026 to a total budget of zero during the Rate Year. For CapEx, we recommend a downward adjustment of $48.062 million, to a total budget of $7.238 million during the Rate

Year. Our adjustments are summarized in Exhibit___(SMIP-3).

Q. Why is the Panel making this recommendation?

A. While the Company's fleet electrification plans are laudable, they are far ahead of the State's goals and requirements, as noted in the testimony above, which are already some of the most aggressive in the nation. As shown on page 84 of Exhibit___(SSP-4), the Company's total five-year funding request for its EV Charging Expansion Program is more than $240 million. The pace the Company has set for itself to reach a fully realized fleet of zero emission vehicles is both historically unprecedented even under the goals of the CLCPA and unduly burdensome on ratepayers.

Q. How did the Panel determine its adjustments?

A. We determined our adjustments by analyzing the Company's historic spending in EV charging expansion for both O&M and Capital expenditures. For O&M, the Company has no historical or forecasted spend in for this program initiative through 2024, as shown on page 89 of Exhibit___(SSP-4), however, as shown on page 84

of Exhibit___(SSP-4), the Company has already installed 161 charging ports. There is no historic spending to compare the Company's request to, therefore, we recommend adjustments to similarly eliminate the O&M portion of the Company's requested EV Charging Expansion Program funding.

Q. How did the Panel determine its adjustments for CapEx?

A. We found the historical cost data provided for the EV Charging Expansion Program to be somewhat unreliable, therefore, we instead determined a reasonable year-over-year growth rate from other projects related to the Company's electric vehicle transition plans and applied and extrapolated that same growth rate to known historical EV Charging Expansion Program costs to establish a reasonable total budget for the EV Charging Expansion Program budget. Our adjustment is the difference between the Company's proposed budget and our recommended budget.

Q. In what way is the historical cost data provided for the EV Charging Expansion Program

unreliable?

A. The historical and forecast cost data provided on page 89 of Exhibit___(SSP-4) is very volatile. Costs jump from $0.365 million in 2022 to $5.292 million in 2023, jump again to a forecast $10.050 million in 2024, settle back to a forecast $5.000 million in 2025, then increase more than ten-fold for the Rate Year and beyond. Given this volatility, it is difficult to draw a clear trend or pattern.

Q. What other projects did the Panel analyze to determine a reasonable year-over-year growth rate for the EV Charging Expansion Program?

A. To obtain the most recent historical data for a more reasonably gradual increase on CapEx spend, the Panel relied on the Funding Detail of the Company's updated testimony about its Vehicle Replacement Program. As noted on page 89 of Exhibit___(SSP-4) and page 9 of Exhibit___(SSP-4-UpD), there is a direct relationship and project interdependency between its Capital Vehicle Replacement and EV Charging Expansion Programs. Simply put, you need charging ports to charge EVs, and you need EVs to justify

spending money on charging ports. Therefore, the year-on-year growth for the Vehicle Replacement Program is a good proxy to determine a reasonable year-on-year growth rate for the EV Charging Expansion Program.

Q. What was the year-on-year growth rate observed for the Vehicle Replacement Program?

A. As shown on page 10 of Exhibit___(SSP-4-UpD), the Company's actual CapEx spend for 2023 was $79.634 million, and its updated forecast spend for 2024 is $88.663 million, demonstrating an approximately 11% increase in CapEx spending.

Q. How was that growth rate applied to the EV Charging Expansion Program?

A. Utilizing the $5.292 million provided as the actual CapEx spend on page 89 of Exhibit___(SSP-4) for the EV Charging Expansion Program in 2023, an 11 percent increase was applied annually to the projected program CapEx budget, yielding the Panel's total recommended budget of $7.238 million during the Rate Year. As noted above, our recommended downward adjustment of $48.062 million is the difference between our recommended budget and the Company's proposed

budget during the Rate Year. The computations supporting development of the year-over-year growth rate, application of that growth rate to the EV Charging Expansion Program, and development of our adjustment, are shown in Exhibit___(SMIP-5).

Q. Does the Panel have any additional recommendations for the Company's EV Charging Expansion Program?

A. To correspond with the downward overall O&M and CapEx budget adjustments recommended for these initiatives, the Panel recommends the removal of the two automotive engineering and garage operations FTEs requested by the Company in 2026. Since the costs of these FTEs are included in the Company's proposed CapEx costs, there is no incremental CapEx adjustment necessary to reflect elimination of the FTEs.

EARNINGS ADJUSTMENT MECHANISMS

Overview of Commission Policy on EAMs

Q. Panel, please provide a brief overview of EAMs.

A. EAMs are metrics with targets and associated earnings opportunities designed to align utility shareholder interests with New York State energy

policy goals. If the utility meets the EAM target or targets, the utility earns financial benefits which are passed on to utility shareholders. The Commission initially approved EAMs in the May 19, 2016 Order Adopting a Ratemaking and Utility Revenue Model Policy Framework in Case 14-M-0101 (Track Two Order).

Q. What are the important EAM requirements set forth in the Track Two Order?

A. The Track Two Order established the types of EAM metrics the Commission would consider and stated that rate proceedings are the proper venue for developing EAMs. The Track Two Order further established the Commission's preference for the following: (1) outcome-based EAMs, as seen on pages 61 through 65; (2) EAMs that are generally positive-only, as seen on pages 66 through 67; (3) a maximum amount of earnings totaling 100 basis points, as seen on page 68; and (4) establishing EAM awards on a sliding scale with the size of awards growing with greater achievement, as seen on page 77.

Q. What EAM metrics did the Track Two Order discuss?

A. In general, the Track Two Order discussed EAMs designed predominantly for electric utilities only. On pages 82-83 of the Track Two Order, the Commission discussed a System Efficiency EAM based on both peak load reduction and improvements in load factor, and on pages 86 to 88, it discussed an interconnection EAM based on an evaluation of application quality and satisfaction of applicants with the process. Although the Track Two Order states, on page 89, that no general EAM is necessary for Customer Engagement and Information Access, it did invite proposals for such an EAM based on customer uptake for opt-in innovative rates and initiatives related to EV adoption. Similarly, on pages 90-91, the Track Two Order invited proposals related to incentivizing greenhouse gas reductions.

Q. Are there other types of proceedings beyond rate proceedings where the Commission discusses EAMs?

A. Yes. While most of the work to develop EAM metrics, targets, and financial awards occurs in rate proceedings, statewide generic proceedings have either provided significant guidance on

further development of certain EAM metrics or have established new EAM metrics within such statewide proceedings. Specifically, the Commission provided guidance in its July 16, 2020 Order Establishing Electric Vehicle Infrastructure Make-Ready Program and Other Programs in Case 18-E-0138.

Q. Did the Commission indicate whether it expected EAMs to continue indefinitely?

A. The Track Two Order makes clear that EAMs play a transitional role, particularly aimed at counteracting disadvantageous incentives within the traditional utility business model. On page 59 of the Track Two Order, the Commission states that its decision "to create new incentive measures is directed not to traditional basic service, but to new types of performance expectations. Some of these new expectations run counter to conventional methods of operations, and importantly, also run counter to the implicit financial incentives that are embedded in the cost-of-service ratemaking model." On page 60 of the Track Two Order, the Commission states that EAMs "must both encourage

achievement of new policy objectives and counter the implicit negative incentives that the current ratemaking model provides against [the State's clean energy] objectives." The Commission states that On page 60 of the Track Two Order, the Commission further states that it "agree[s] that EAMs are best thought of as a bridge," and that "[t]he specific set or portfolio of EAMs may also change over time, as some objectives are achieved or become standard practice, allowing an EAM to be retired, while other EAMs are created or modified as new needs are identified in the future."

General Recommendations for EAMs

Q. Does the Panel have any recommendations regarding the Company's overall EAM proposals?

A. Yes. We recommend that the EAMs ultimately be expressed in terms of absolute dollars instead of basis points. While we express our recommended potential earnings in basis points in our testimony, we recommend the Commission convert the values from basis points to dollar amounts once the capital structure and rate base are determined and should set forth the dollar

values in its rate order in these proceedings.

Q. Why does the Panel recommend that EAMs be expressed in terms of dollars and not in basis points?

A. The value of a basis point will fluctuate over time, as it is directly related to a utility's rate base. Plant-in-service is the largest component of rate base and includes the total of all plants owned and used in the utility's operations. Basing EAMs strictly on basis points could unintentionally incentivize the Company to increase its net plant-in-service to inflate the value of a basis point and would be to ratepayers' detriment. Instead, the basis points assigned to each EAM must be converted into absolute dollar figures based on the equity ratio and net plant-in-service targets approved by the Commission in these proceedings.

Q. What are the dollar amounts associated with one basis point for the Company's electric and gas businesses during the Rate Year?

A. Based on Staff's recommended rate base and revenue requirement, the value of one basis point for the electric business is approximately

$2.132 million. The calculations of basis point values are provided in the initial testimony of Staff Finance Panel.

Q. Does the Panel have any recommendations if this proceeding becomes a litigated one-year case?

A. In a one-year litigated case, the Panel recommends that the Commission consider the EAMs as tracking metrics only, with specific associated performance targets and metrics, but with no assigned basis points. On page 62 of the Track Two Order, the Commission states that EAMs are best left to multi-year rate plans.

Q. What, specifically, is the Panel recommending?

A. The Panel recommends any EAMs associated with financial rewards be adopted for a minimum period of three years, over which there is a progression of annual EAM targets and rewards. Further, the Panel recommends that, in the instance of a litigated case resulting in a one-year rate plan, the EAM metrics recommended by this Panel be used by the Commission as scorecard metrics only and not be associated with any financial rewards.

Q. Has the Commission previously approved a one-

year litigated rate proceeding including EAMs as scorecard metrics only, with no associated financial awards?

A. Yes. Central Hudson's last major rate proceeding resulted in a one-year litigated outcome in Cases 23-E-0418 and 23-G-0419. In its July 18, 2024 Order Establishing Rates for Electric and Gas Service, the Commission adopted the terms of a Recommended Decision submitted on May 1, 2024 by the Administrative Law Judges assigned to those proceedings. Therefore, although the Commission did not make any further comments on EAM-specific issues, it did adopt the recommendation not to establish financial awards related to EAMs for that one-year litigated rate period, and instead require a report on the performance of various metrics and targets during the calendar year.

Q. Why does the Panel recommend setting the EAM metrics, targets, and financial incentive levels for three or more years?

A. A term of at least three years strikes a reasonable balance between providing a long-term incentive structure around which the Company

would be able to plan its business and operations while ensuring that the metrics, targets, and financial incentives do not become stale. Further, the Panel's recommendation adheres to the previous Commission guidance regarding multiyear EAMs, as discussed earlier.

Q. Are there risks involved in setting multi-year EAM metrics, targets, and financial incentives?

A. Setting EAM metric targets for a three-year term risks targets being either too strict, such that the utility is not able to achieve the targets regardless of its actions, or too lenient, such that the utility would have met the targets even without the incentive. However, setting up a three-year incentive structure for the Company to follow reduces these risks by making the process more predictable.

Overview of Company-Proposed EAMs

Q. Please provide an overview of the Company's EAM proposals.

A. The Company proposes eight EAM metrics, seven of which would be continued from the present Rate Plan with minor proposed alterations, with the last EAM metric being a new proposal in the

instant proceeding, as summarized on page 3 of Exhibit___(CES-7). In total, Con Edison seeks a maximum level of financial award for EAM performance of 68 basis points.

Q. What EAM metrics does the Company propose to continue from the present Rate Plan?

A. As shown on pages 50-51 of the Company's Customer Energy Solutions Panel's initial testimony, the Company proposes to continue the Demand Response EAM, the DER Utilization – Solar EAM (DERU-Solar), the DER Utilization – Storage EAM (DERU-Storage), the Transportation Interconnection EAM, the Residential Managed Charging EAM, the Commercial Managed Charging EAM, and the Light-Duty Electric Vehicle Emissions Reduction EAM.

Q. Does the Company propose to continue these existing metrics exactly as-approved in the current Rate Plan?

A. Not quite. The Company proposes to continue the each of the EAM metrics – that is, the specific data that each metric is intended to measure – the same for each of these metrics with the exception of the Residential Managed Charging

EAM. Similarly, for several of the existing EAM metrics, the Company proposes modifications to way the baseline is calculated. Specifically, the Company proposes changes to the previously-approved baseline calculation methodology for the DER Utilization – Solar EAM, the Residential Managed Charging EAM, and the Commercial Managed Charging EAM. The Company proposes to modify the previously-approved targets or target-setting methodology for all of the existing EAM metrics except the Transportation Interconnection EAM and the Light-Duty Vehicle Emissions Reduction EAM. Finally, the Company proposes changes to all of the existing EAM metrics financial awards. The modifications the Company proposes to each of these EAM metrics, baselines, targets, and financial awards will be described later in this testimony when discussing each metric individually.

Q. What is the new EAM metric that the Company proposes?

A. As shown on page 51 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to implement a new Electric Bus

Emissions Reduction EAM, which it describes more simply as the "Bus Emissions" metric.

Target-Setting Philosophy

Q. What is the Panel's philosophy on setting EAM targets?

A. We agree that EAM targets should generally be developed by first developing a baseline then developing minimum, midpoint, and maximum targets. EAM targets should incentivize Company activity above and beyond expected activity due to normal course of business, and generally the baseline should be set based on expected level of activity from the Company's normal course of business. However, there are multiple considerations that go into the decision-making process for recommending targets, or even the decision to recommend shareholder incentives based on a particular EAM at all. First, where the outcome of a proposed EAM is simply to maximize use and usefulness of a piece of utility plant or equipment, an EAM award is not warranted. In these situations, the Company needs to make best use of its equipment for which customers have already paid or are

currently paying.

Q. Panel, please provide an example of where this first criterion would primarily inform consideration of an EAM?

A. This criterion should be applied to any proposed EAM which would reward the Company for efficient operation of rate base equipment which would already be part of the Company's obligation to provide safe and reliable service at just and reasonable rates and provide such service at least-cost.

Q What is the next criterion?

A. Second, where the Commission has authorized utility-operated programs with utility-specific budgets and targets specifically intended to meet statutory requirements, for example under the Climate Leadership and Community Protection Act (CLCPA), the Company is required to deliver these outcomes and should do so at least cost. Therefore, for these types of outcomes, we do not recommend shareholder incentives, as such incentives would further add to the costs imposed on customers to achieve these statutory mandates.

Q. Please provide an example of when this second criterion would primarily inform consideration of an EAM.

A. The second criterion applies to the Commission-authorized Energy Efficiency and Clean Heat Programs, which both provide utility-specific funding and targets intended to achieve energy savings goals that are now required in the CLCPA. These efficiency and Clean Heat Program targets are no longer aspirational goals set within the context of a Commission-led initiative. Since the CLCPA is now law, the achievement of these goals is a statutory mandate which the Commission must impose upon utilities, the Company is required to comply at least cost. In the event that a utility fails to meet these obligations, the Commission shouldconsider negative revenue adjustments (NRAs) to effectively focus utility attention on achievement of these goals. The Company's proposal to discontinue its present Electric and Gas Smart Building Electrification metric, described on page 51 of the Customer Energy Solutions Panel's initial testimony, is

consistent with our recommendation to not provide a shareholder incentive, as well as the fact that the Commission itself directed utilities not to file new proposals for similar EAM metrics on pages 85-87 of its July 20, 2023 Order Directing Energy Efficiency and Building Electrification Proposals in Case 18-M-0084.

Q. What is the next criterion?

A. Third, where the Commission or the State has established a target related to policy goals but has not committed utility-specific programs and funding to directly achieve those goals, we recommend that any EAM metrics designed to help achieve such goals have targets based directly on achieving or over-achieving those goals.

Q. Please provide an example of when this third criterion would primarily inform consideration of an EAM.

A. The third criterion would apply to the Company's DER Utilization – Storage metric.

Q. What is the last criterion?

A. Finally, if none of the other conditions are applicable, or the Company is already on track to over-achieve the applicable state policy

goal, only then should EAM targets be developed based on over-achieving compared to historic performance.

Q. What is an example of where this final criterion would primarily inform consideration of an EAM?

A. The final criterion would apply to the Company's proposed DERU-Solar, Residential Managed EV Charging, and Commercial Managed EV Charging EAMs. There are presently no statewide or utility-specific targets established by the Commission related to demand response or managed charging programs, therefore, encouraging accelerated growth of the cost-effective demand response and managed EV charging programs is a satisfactory outcome. Similarly, the Company appears to be on track to meet its solar-related requirements, discussed in greater detail below.

Q. Does the Panel anticipate that specific statewide or utility-specific goals for demand response and managed charging programs are likely to be developed in the near future?

A. Yes. Page four of the Commission's April 18, 2024 Order Instituting Proceeding in Case 24-E-0165 envisions future development of flexible

resource technology deployment goals, which is likely to include demand response and EV managed charging programs. Therefore, while the Company's proposed Demand Response, Residential Managed EV Charging, and Commercial Managed EV Charging EAMs presently fall under our fourth EAM consideration criterion, they may advance to the second or third criterion in the future.

Demand Response EAM

Q. Explain the purpose of the Demand Response EAM (DR EAM).

A. As described on page 55 of the CES Panel's testimony, this EAM is designed to incent the Company to facilitate participation in the Company's various retail demand response programs as well as the NYISO Special Case Resource (SCR) program.

Q. Does the Company propose to change the target achievement levels for the DR EAM?

A. Yes, on pages 57-58 of the CES Panel testimony, the Company proposes to set the targets at multiples of 1.15x, 1.3x, and 1.5x above the baseline annual DR growth rate for the minimum, midpoint, and maximum targets, respectively.

Q. What were the previous targets?

A. On pages 9-10 of Appendix 22 of the Joint Proposal approved by the 2023 Rate Order, the DR EAM targets were set at 1.4x, 1.8x, and 2.2x above the baseline, respectively.

Q. Why does the Company propose to reduce the targets in this rate plan?

A. The Company provides two main reasons for reducing the targets on pages 58-59 of the CES Panel's initial testimony and page 4 of CES Panel's updated testimony. First, the Company cites potential NYISO SCR program enrollment volatility in the future due to proposed changes to the program. In response to DPS-454, the Company further explains that the changes proposed for the NYISO SCR program included changing response duration from four to six hours, eliminating the day-ahead notification window for SCR calls, and moving from an Average Coincident Load baseline to a Customer Baseline Load baseline methodology. The Company also points out that SCR program enrollment may be affected by competition from the NYISO implementation of its DER and Aggregation Model

in response to Federal Energy Regulatory Commission (FERC) Order 2222. Second, the Company explains that there may be a decline in participation by diesel generators due to the implementation of 6 NYCRR Part 222.

Q. Does the Panel agree with the Company's explanation of future program enrollment volatility risk?

A. We disagree with the characterization of SCR program volatility risk due to developments in the NYISO stakeholder process since the Company filed its initial testimony. In a presentation on April 1, 2025 titled "Engaging the Demand Side: 2025 Project Update" and included as Exhibit___(SMIP-6), the NYISO announced to stakeholders that it is tabling efforts to modify the SCR program. As such, the enrollment volatility risk the Company describes in its testimony is no longer a concern.

Q. Does the NYISO implementation of FERC Order 2222 cause concern for the Panel regarding SCR program enrollment volatility?

A. We agree with the Company's assertion in response to DPS-454 that the NYISO is pushing

for participation in its DER and Aggregation model. The NYISO explicitly endorsed its DER programs in the same presentation tabling SCR program changes. However, we disagree with the Company's assertion that this poses a significant risk to SCR program enrollment. The NYISO SCR program and DER and Aggregation model have different enrollment and participation requirements that appeal to different sets of resources. The DER and Aggregation model has much stricter metering and telemetry requirements than the SCR program, for example. In addition, the SCR program only requires a short four-hour response window and utilizes a long notification time for mandatory calls offering more flexibility to market participants than the DER and Aggregation Model.

Q Are there any other factors that may influence DR program enrollment that the Company has not accounted for in its testimony?

A. Yes, on March 3, 2025, the Company filed a petition in Case 14-E-0423, Proceeding on Motion of the Commission to Develop Dynamic Load Management Programs, to modify its tariff to

allow dual participation in the Company's Bring Your Own Thermostat program and the NYISO SCR program. If approved, this would further reduce the risk of lower SCR program enrollment described by the Company in its testimony.

Q. Do you agree with the proposed targets?

A. No. Considering the low risk of SCR program enrollment volatility we have described and the Company's petition in Case 14-E-0423, we recommend that the Commission find that the lower targets are not necessary at this time. We recommend that the Commission use the same targets as set in the 2023 Rate Order. These targets are set at 1.4x, 1.8x, and 2.2x above the baseline, respectively.

Distributed Energy Resources Utilization – Solar

Q. Please describe the existing DERU-Solar EAM metric.

A. As described on page 19 of Appendix 22 of the Joint Proposal, the DERU-Solar EAM measures the annual incremental nameplate alternating current (AC) capacity of solar photovoltaic generation installed in the Company's service territory. As shown on pages 19-20 of Appendix 22 of the

Joint Proposal, performance in the DERU-Solar EAM is determined relative to a baseline, with minimum targets set 7.5 percent above the baseline, midpoint targets set 25 percent above the baseline, and maximum targets set 50 percent above the baseline.

Q. How was the baseline set for the present DERU-Solar EAM?

A. As described on page 20 of Appendix 22 of the Joint Proposal, the baseline was set based on a regression trendline established using actual annual solar interconnections measured from 2017 through 2022. The Joint Proposal also states that the baseline compares favorably to the annual apportionment of Con Edison's 450 megawatt (MW) by 2030 goal established by the Commission in its April 14, 2022, Order Expanding NY-Sun Program, in Case 21-E-0629 – requiring installation of approximately 56.25 MW per year.

Q. What financial awards are presently available for performance in the DERU-Solar EAM?

A. As shown on page 1 of Appendix 22 of the Joint Proposal, the Company can earn one basis point

of financial incentive for achieving the minimum target, three basis points of financial incentives for achieving the midpoint target, and up to seven basis points of financial incentives for achieving the maximum target, with pro-rata incentives available between the minimum and midpoint levels, and between the midpoint and maximum levels, as described on pages 2-3 of Appendix 22 of the Joint Proposal.

Q. Please describe the Company's proposed DERU-Solar EAM in the instant proceeding.

A. As stated on page 60 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to continue the DERU-Solar metric with modifications to the baseline methodology; modifications to the minimum, midpoint, and maximum target levels above the baseline; and modifications to the financial awards available for meeting such targets.

Q. What modifications to the baseline methodology are proposed by the Company?

A. Instead of the trendline forecast methodology established in the Joint Proposal, on page 61 of the Customer Energy Solutions Panel's initial

testimony the Company proposes to set the baseline for a given year at the average level of the most recent three years of incremental nameplate AC capacity. That is, the baseline level for the Rate Year – 2026 – would be the average incremental nameplate capacity installed per year during 2023, 2024, and 2025.

Q. Please describe the modifications to the targets proposed by the Company.

A. On page 62 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to set DERU-Solar targets at levels 5 percent above the baseline for the minimum target, 10 percent above the baseline for the midpoint target, and 20 percent above the baseline for the maximum target. The Company explains that while it interconnected significantly higher levels of solar generation during 2023 and 2024 than its historical levels, it asserts that the targets during the Rate Plan were out of reach.

Q. Does the Panel agree with the Company's assessment that the targets set in the present Rate Plan are out of reach for the Company to achieve?

A. No. Although the Company states on page 62 of the Customer Energy Solutions Panel initial testimony that it achieved 92.1 MW and 100.1 MW of incremental solar installations during 2023 and 2024, respectively, it is notable that its performance is above the baseline levels of 88.55 MW during 2023 and 97.17 MW during 2024. That is, although the Company failed to achieve the minimum target, it was not by such a large margin that would suggest that the targets were set unreasonably high.

Q. How do the targets proposed by the Company compare to the present target levels?

A. The difference between the proposed levels and the present levels is modest for the minimum targets – 5 percent above baseline versus 7.5 percent above baseline, respectively. However, the Company's proposed midpoint and maximum targets are less than half of the present midpoint and maximum target: 10 percent above baseline as-proposed compared to 25 percent above baseline presently for the midpoint target; and 20 percent above target baseline as-proposed compared to 50 percent above baseline

presently for the maximum target.

Q. Please describe the Company's proposed modifications to the financial awards at the various target levels.

A. As shown on page 4 of Exhibit___(CES-7), the Company proposes to set financial awards at two basis points for achieving the minimum targets, four basis points for achieving the midpoint target, and seven basis points for achieving the maximum target. Compared to the current financial award levels, the Company proposes to double the amount of financial awards available at the minimum target level, increase the amount of financial awards available at the midpoint target level by about 33 percent, and maintain the same level of financial award available at the maximum target level.

Q. Did the Company provide any rationale to support its proposed increases to financial awards at the minimum and midpoint level?

A. On page 54 of the Customer Energy Solutions Panel initial testimony, the Company states that it proposes to set EAM awards proportional to the benefits that can be achieved through

performance under the EAM. However, the Company does not provide any more specific rationale to support its proposed financial awards for individual EAM metrics, nor does it provide any more detailed rationale to support its proposals to modify the minimum or midpoint levels of any specific EAM metrics.

Q. Does the Panel have any recommendations related to the Company's proposed DERU-Solar EAM?

A. Yes, we have four recommendations. First, we recommend an improvement to the target-setting methodology to adjust and protect customers in the event that updated baseline methodology results in a year-to-year decrease in the baseline. Specifically, the minimum target for a given year should be set no lower than the baseline level for the previous year in the event that the rolling three-year average baseline decreases from one year to the next.

Q. What situation is this adjustment intended to avoid?

A. This adjustment is intended to avoid a situation where there is a significant drop in solar installations from year to year, without an

ability to adjust and determine whether it is reasonable to continue offering a financial award associated with the outcome. A somewhat similar situation had occurred during the COVID pandemic of 2020-2022 with the Electric Peak Reduction EAM in effect at that time. Members of this Panel testified on that topic on pages 41-51 of the Staff Earnings Adjustment Mechanisms Panel in Cases 22-E-0064 and 22-G-0065, and we are committed to ensuring that we learn from, and not repeat, past mistakes as part of our recommendations in the instant proceeding.

Q. What is your second recommendation?

A. We recommend that the Commission maintain the present DERU-Solar EAM target levels above baseline, instead of adopting the Company's proposed significant reduction in target levels. The only rationale provided by the Company to support its meaningfully lower target levels is its inability to earn an EAM award on this metric during 2023 and 2024, despite the fact that it did achieve installations above the baseline level. In short, we do not find the

Company's rationale to be compelling whatsoever.

Q. What is your third recommendation?

A. We recommend that the Commission maintain the present DERU-Solar EAM financial award levels at the minimum and midpoint levels. The Company did not provide a compelling rationale for significantly increasing the financial awards at the minimum and midpoint levels, therefore, we recommend keeping such levels at the present levels 1 basis point and three basis points, respectively.

Q. What is your fourth recommendation?

A. Finally, we recommend that the Company only be allowed to earn a financial award under DERU-Solar EAM if it is not assessed a NRA related to its Community Distributed Generation (CDG) billing practices and implementation.

Q. Can you provide some background on issues related to CDG billing?

A. On March 29, 2022 Staff filed the Department of Public Service Staff Straw Proposal on Opt-Out Community Distributed Generation in Cases 19-M-0463, et al., or Staff CDG Billing Straw Proposal. The Staff CDG Billing Straw Proposal

reported numerous billing issues related to utility billing of CDG, such as instances where customers did not receive a utility bill for several months and later received multiple bills within a short period, or a single very high bill for that extended period, CDG members not receiving appropriate credits on their bills, and impacts on the CDG Sponsor's ability to bill and collect payments from the utilities and/or customers for the generation that has been produced by these CDG projects. In response to the Staff CDG Billing Straw Proposal, on September 15, 2022, the Commission issued its Order Establishing Process Regarding Community Distributed Generation Billing (CDG Billing Process Order). The CDG Billing Process Order required: (1) Con Edison to address CDG billing deficiencies by filing an implementation plan to implement automated CDG billing functionality; and (2) Staff and other stakeholders, including Con Edison, to propose performance metrics and NRAs tied to utilities CDG crediting and billing performance.

Q. What is the status of the two requirements from

the CDG Billing Process Order?

A. Regarding the status of CDG billing automation, according to its "CDG Billing Update" letter filed on April 4 in Case 19-M-0463, Con Edison has fully implemented automated CDG billing processes and is currently successfully billing over 99 percent of its CDG participants. Regarding the requirement to develop performance metrics and NRAs tied to those performance metrics, Staff filed the Department of Public Service Staff Proposal on Community Distributed Generation Billing and Crediting Performance Metrics and Negative Revenue Adjustments, or Staff CDG NRA Proposal, on January 16, 2024 in Cases 19-M-0463, et al. The Staff CDG NRA Proposal is currently being considered by the Commission, however, given that Commission provided the directive to develop an NRA, we find it highly likely that any action taken by the Commission will include some manner of NRA tied to the CDG Billing.

Q. Why would the imposition of an NRA make the Company earning a financial award under the DERU-Solar EAM unreasonable?

A. It would be a poor outcome indeed for Con Edison to earn an EAM incentive tied, in part, to deployment of solar installations which participate in the CDG program, while also not meeting performance standards for its billing and processing of payments for CDG program participants. In short, Con Edison should demonstrate adequate performance under the CDG performance metrics, once approved, or not be able to earn enhanced incentives on its CDG activities at all.

Q. Is CDG a significant part of the solar installations that Con Edison would potentially earn an EAM by encouraging?

A. Yes. According to Con Edison's March 31, 2025, "Con Edison 2024 Net Crediting Report," the Company currently has approximately 99 MW of capacity participating in the CDG program, and we reasonably anticipates more participants in net crediting as the Con Edison's implementation of the Statewide Solar For All program begins to get underway.

Distributed Energy Resources Utilization – Storage

Q. Please describe the existing DERU-Storage EAM

metric.

A. As stated on pages 20-21 of Appendix 22 of the Joint Proposal, the DERU-Storage EAM measures the nameplate AC capacity of customer-sited energy storage systems of five MW or less that are installed through the Company's Standardized Interconnection Requirements (SIR) process. As shown on pages 21 of Appendix 22 of the Joint Proposal, performance in the DERU-Solar EAM is determined relative to a baseline, with minimum targets set 10 percent above the baseline, midpoint targets set 25 percent above the baseline, and maximum targets set 50 percent above the baseline.

Q. How was the baseline set for the present DERU-Solar EAM?

A. As stated on page 21 of Appendix 22 of the Joint Proposal, the baseline levels are based on an exponential growth curve to achieve the SIR-eligible portion of the statewide 2030 energy storage deployment goal within Con Edison's service territory.

Q. What financial awards are presently available for performance in the DERU-Storage EAM?

A. As shown on page 1 of Appendix 22 of the Joint Proposal, the Company can earn one basis point of financial incentive for achieving the minimum target, three basis points of financial incentives for achieving the midpoint target, and up to seven basis points of financial incentives for achieving the maximum target, with pro-rata incentives available between the minimum and midpoint levels, and between the midpoint and maximum levels, as described on pages 2-3 of Appendix 22 of the Joint Proposal.

Q. Please describe the Company's proposed DERU-Solar EAM in the instant proceeding.

A. As stated on page 64 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to continue the DERU-Storage metric with modifications to the minimum, midpoint, and maximum target levels above the baseline; and modifications to the financial awards available for meeting such targets. Although the Company does not describe its proposals regarding the DERU-Storage baseline as a modification, we disagree, and thus must identify such proposal as a modification here.

Q. Please explain how the Company's proposed baseline methodology amounts to a modification compared to the baseline methodology in the current Rate Plan.

A. As noted above, the baseline methodology currently in place was determined as the exponential growth curve that would achieve 100 percent of the Company's share of the statewide energy storage deployment goal. As stated on page 65 of the Customer Energy Solutions Panel's initial testimony, the baseline the Company proposes in the instant proceeding is based on an exponential growth curve to achieve only 65 percent of its share of the statewide policy goal. In page 5 of its corrections and updates testimony, the Customer Energy Solutions Panel indicates that its initial testimony did not accurately characterize the baseline, and instead the baseline value the Company proposes is equal to the amount of energy storage nameplate AC MW installed during 2024. In short, the modification is the proposal to change from a baseline designed to achieve the Company's share of the statewide policy goal,

and not even to a baseline which is designed to achieve only a little more than half of the Company's share of that statewide policy goal, but instead is based on the installation results from a single historical year with no relation to the statewide goal whatsoever.

Q. Please describe the modifications to the targets proposed by the Company.

A. As stated on page 65 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to set minimum targets to achieve 70 percent of its share of the statewide policy goal, midpoint targets to achieve 80 percent of its share of the statewide policy goal, and maximum targets to achieve 100 percent of its share of the statewide policy goal. As shown on page 65 of the Customer Energy Solutions Panel's initial testimony, these levels are premised on accepting its assertion that the baseline methodology is meaningfully unchanged, which is not the case, as we described above.

Q. How do the targets proposed by the Company compare to the present target levels?

A. Accepting for the sake of argument that the

baseline should be designed to achieve 100 percent of the Company's share of the statewide policy goal, we will refer to this as the policy goal baseline, the Company's proposed DERU-Storage targets are meaningfully lower at each achievement level than the present DERU-Storage targets. The current minimum target is set at the policy goal baseline plus 10 percent, whereas the Company's proposed minimum targets would be set at the policy goal baseline minus 35 percent. The current midpoint target is set at the policy goal baseline plus 25 percent, whereas the Company's proposed minimum targets would be set at the policy goal baseline minus 20 percent. The current maximum target is set at the policy goal baseline plus 50 percent, whereas the Company's proposed minimum targets would be set at the policy goal baseline level.

Q. Please describe the Company's proposed modifications to the financial awards at the various target levels.

A. As shown on page 4 of Exhibit___(CES-7), the Company proposes to earn three basis points of financial award at the minimum target level, six

basis points of financial award at the midpoint target level, and 10 basis points of financial award at the maximum target level.

Q. How do the Company's proposed financial awards compare to the financial awards presently available under the DERU-Storage EAM?

A. The Company's proposed financial awards at the minimum level are three times the magnitude of those presently available at the same level. The Company's proposed financial awards at the midpoint level are twice the magnitude of those presently available at the same level. The Company's proposed financial awards of 10 basis points at the maximum level are somewhat, but meaningfully, higher than the seven basis points of financial award presently available at the maximum level.

Q. What does the Panel recommend regarding the DERU-Storage EAM?

A. We recommend that the Commission: (1) reject the Company's proposed modifications to the DERU-Storage EAM and instead; (2) continue the existing policy goal baseline methodology; (3) continue the existing target setting methodology

with minimum, midpoint, and maximum targets set 10 percent, 25 percent, and 50 percent above the policy goal baseline, respectively; and (4) continue the existing financial awards it has previously approved for the DERU-Storage EAM.

Q. Why is it reasonable to continue the DERU-Storage EAM essentially unchanged?

A. We do not agree with the Company's premise that it should be rewarded with more customer money for achieving an outcome which fundamentally does not meet its share of statewide policy goals, or, at best, would reward the Company with tens of millions of dollars of additional customer money for simply getting on track to meet its share of such policy goal. Instead, continuing the DERU-Storage EAM as currently designed provides incremental value to both the Company shareholders and customers by requiring the Company to over-achieve on its share of the statewide goal.

Residential Managed Charging

Q. Please provide a summary of the existing Residential Managed Charging EAM.

A. The existing Residential Managed Charging EAM

was developed and submitted as part of the 2023 Managed Charging EAM Collaborative Report, submitted on May 5, 2023, in Case 22-E-0064, and approved by the Commission in the 2023 Rate Order. The Residential Managed Charging EAM incentivizes the Company to encourage avoidance of charging during peak hours through customer participation in its SmartCharge New York (SCNY) residential managed charging program. As shown on pages 3-4 of the 2023 Managed Charging EAM Collaborative Report, the Residential Managed EV Charging EAM measures the avoided charging impact of customers participating in its SCNY program during the summer period between June and September, designated as the ratio of: (1) the difference between (a) "P_{max}", the maximum possible demand, based on vehicle manufacturer specifications, of EVs enrolled in the SCNY program at the end of the month in which the actual maximum charging demand occurs, derated significantly to account for the fact that many vehicles are capable of charging at a faster rate, for example at DCFC charging sites, than they would at home with, at most, Level 2

charging capability, and (b) "P_{actual}", the actual peak charging demand of those SCNY program participants between the hours of 2 P.M. and 6 P.M. during the months of June through September; both of which are proportionately scaled from the summer participation levels to year-end levels; and (2) the total number of light duty vehicles in the Company's service territory at the end of the applicable Rate Year. The existing Residential Managed Charging EAM includes the impacts and performance of both full battery electric vehicles (BEVs) and plug-in hybrid electric vehicles (PHEVs).

Q. Can the panel provide a simple explanation for what the Residential Managed Charging metric measures and why?

A. In essence, the metric measures the amount of peak summer demand avoided through customer participation in the Company's SCNY program, divided by the total number of vehicles on the road at the end of the year. It is necessary to derate and adjust the nominator of the metric to account for the fact that different vehicles' maximum charging demand varies significantly

between vehicle models, and that the vehicle is unlikely to charge at its maximum level while plugged in at residential customers' homes. The nominator is also adjusted proportionally in both its P_{max} and P_{actual} terms to account for the fact that the metric is measured at year-end while the relevant actual peak demands will occur during the summer, this is done to help match measurement of the numerator of the metric with vehicle registration data which is available periodically, but always on an annual basis.

Q. Is there a mismatch in the numerator, which measures SCNY program participation, and the denominator, which measures total light-duty EV registration?

A. That the numerator of the metric measures the performance of SCNY participants while the denominator of the metric is the number of light-duty EVs registered in the Company's service territory instead of number of customers participating in the SCNY program is intentional and critical for the metric to set the best incentive for the Company to follow. To

maximize attainment under this metric, the Company must simultaneously maximize participating customers' performance in the SCNY program, calculated in the metric's numerator, and must also attempt to maximize the number of customers participating in the SCNY program.

Q. How does the metric incentivize the Company to maximize customer participation in the SCNY program?

A. If the denominator, the number of light-duty EVs registered in the Company's service territory, grows faster than the numerator, participants' performance in the SCNY program, the result would be a lower attainment level compared to the targets set. Thus, the metric is set up to require the Company to both maximize customer performance and participation in the SCNY residential managed charging program.

Q. How are targets expressed for the existing Residential Managed Charging EAM?

A. Targets for the current Residential Managed Charging EAM are expressed as a percent improvement in the Residential Managed Charging metric above a baseline level. The current

Residential Managed Charging EAM targets are set at a 5 percent improvement over the historical baseline, 10 percent improvement over the historical baseline, and 17 percent improvement over the historical baseline for the minimum, midpoint, and maximum achievement levels, respectively. In simplistic terms, the historical baseline is based on average SCNY performance data collected from 2020 through 2022.

Q. What financial awards are presently available for performance in the Residential Managed Charging EAM?

A. As shown on page 11 of the 2023 Managed Charging EAM Collaborative Report, the Company can earn two basis points of financial incentive for achieving the minimum target, three basis points of financial incentives for achieving the midpoint target, and up to five basis points of financial incentives for achieving the maximum target, with pro-rata incentives available between the minimum and midpoint levels, and between the midpoint and maximum levels, as described on pages 2-3 of Appendix 22 of the

Joint Proposal.

Q. What modifications does the Company propose to the Residential Managed Charging EAM?

A. The Company proposes six modifications. First, as shown on page 70 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to remove PHEVs from the Residential Managed Charging EAM. On pages 70-71 of the Customer Energy Solutions Panel initial testimony, the Company explains that since PHEVs have smaller batteries, lower maximum charging capacity than BEVs, and may charge less frequently than BEVs, the benefits of avoiding PHEV charging during system peak hours are higher for BEVs than PHEVs, therefore, the Company seeks to focus entirely on BEVs under the Residential Managed Charing EAM.

Q. What is the second proposed modification to the Residential Managed Charging EAM?

A. Second, as shown on page 72 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to modify the enrollment growth rate term of its baseline procedures to be based on the previous year's SCNY program performance

and vehicle registration data instead of using the historical average of data collected from 2020 through 2022. On page 73 of the Customer Energy Solutions Panel's initial testimony, the Company explains that the SCNY program's market share of EVs enrolled in SCNY has begun to plateau after a period of several years of rapid growth, and that the updated baseline methodology keeping pace with market growth is appropriate as the SCNY program reaches maturity. Con Edison also notes that the modified baseline also simplifies the baseline and target calculations, as well as its proposed modification to only measure impacts from BEVs.

Q. What is the third proposed modification?

A. Third, as shown on page 73 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to also modify the P_{actual} term of its baseline procedures to be based on the previous year's SCNY program performance instead of based on the average historical performance during the period of 2020 through 2022. The Company explains that this modification would incentivize the Company to improve peak

avoidance performance year-over-year.

Q. What is the fourth proposed modification?

A. Fourth, as shown on page 74 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to increase the maximum target level to 20 percent improvement over baseline, while keeping the minimum and midpoint targets the same at 5 percent improvement over baseline and 10 percent improvement over baseline, respectively.

Q. What is the fifth proposed modification?

A. Fifth, as shown on pages 17-18 of Exhibit___(CES-7), the Company proposes to implement a one-month "lag time" between when it would measure the number of vehicles on the road for a given year and when it would measure peak avoidance performance in the SCNY program. Con Edison explains that there is a natural lag time between when a vehicle is registered and when it could enroll in the SCNY program, stating that measuring the number of vehicles on the road one month before peak avoidance performance measurement occurs provides a more accurate measure of the size of the EV market that Con

Edison could potentially enroll in SCNY. The existing Residential Managed Charging EAM measures vehicle registrations at the end of the same month as the peak avoidance performance measurement.

Q. What is the sixth proposed modification?

A. Sixth, as shown on page 4 of Exhibit___(CES-7), the Company proposes to increase the financial awards available at the minimum, midpoint, and maximum achievement levels. Specifically, the Company proposes to increase the financial awards available at the minimum achievement level from two basis points to three basis points. The Company proposes to increase the financial awards available at the midpoint achievement level from three basis points to six basis points, and to increase the financial awards available at the maximum achievement level from five basis points to 10 basis points.

Q. Did the Company provide any rationale to support its proposal to increase the financial awards for the Residential Managed Charging EAM?

A. As discussed above regarding the DERU-Solar EAM, the Company states that it proposes to set EAM

awards proportionally to the benefits that can be achieved through performance under the EAM, but does not provide any more specific rationale to support its proposed financial awards for individual EAM metrics, nor does it provide any more detailed rationale to support its proposals to modify the financial awards for any specific EAM metrics.

Q. Does the Panel have any recommendations regarding the Company's modifications to the Residential Managed Charging EAM?

A. We have two recommendations. First, we recommend that the Residential Managed Charging EAM continue to measure and encourage PHEV participation and performance in the SCNY program. While the Company's assertions about the relative value of managing BEV charging versus PHEV charging are accurate, nevertheless, PHEVs are a meaningful portion of the overall light duty EV market and willingly removing focus from a potentially significant source of peak demand is unreasonable. This is especially important given the Commission's directives to find new sources of grid flexibility and

increase use and reliance on existing flexible resources discussed in the Commission's Grid of the Future Proceeding, Case 24-E-0165, specifically in the Order Instituting Proceeding issued on April 18, 2024.

Q. What is your second recommendation?

A. We recommend that the Commission maintain the present Residential Managed Charging EAM financial awards at the minimum, midpoint, and maximum achievement levels. The Company did not provide a compelling rationale for significantly increasing the financial awards, therefore, we recommend that the Commission continue the present incentives at two basis points, three basis points, and 5 basis points at the minimum, midpoint, and maximum achievement levels respectively.

Commercial Managed Charging

Q. Please summarize the existing Commercial Managed Charging EAM.

A. The Commercial Managed EV Charging EAM is an existing EAM that incentivizes the Company to encourage customers to avoid charging during peak hours through customer participation in its

commercial managed charging program (CMCP) referred to by Con Edison as SmartCharge-Commercial. As shown on page 8 of the 2023 Commercial Managed Charging EAM Collaborative Report, the Commercial Managed EV Charging EAM annually measures the avoided charging impact of customers participating in its CMCP at the end of the summer period on September 30, designated as the ratio of: (1) the difference between (a) "P_{max}", the maximum possible demand, based the sum of the maximum possible demand of chargers enrolled in the CMCP, and (b) "P_{actual}", the sum of actual commercial managed charging program participants' peak charging demand coincident with the summer peak conditions measured June through September; and (2) the sum of all maximum simultaneous charging capability for all commercial stations within the Company's service on September 30 of each Rate Year.

Q. Does the Commercial Managed Charging EAM include a year-end scaling factor similar to the Residential Managed Charging EAM?

A. It does not. The Commercial Managed Charging EAM measures a snapshot of CMCP participation

and performance as of September 30 of each Rate Year, and also measures a snapshot of maximum simultaneous commercial EV charging capability on the same date.

Q. Does the Commercial Managed Charging EAM also result in incentives to maximize both demand reductions and participation in the commercial managed charging program?

A. Yes, similar to the Residential Managed Charging metric, the Commercial Managed Charging metric is designed to incentivize the Company to both minimize on-peak charging for CMCP participants and maximize participation in the CMCP.

Q. How does the metric incentivize the Company to maximize customer participation in the commercial managed charging program?

A. If the denominator of the Commercial Managed Charging metric, the sum of maximum simultaneous commercial EV charging capability in the Company's service territory, grows faster than the numerator, participants' performance in the CMCP, the result would be a lower attainment level compared to the targets set. Thus, the metric is designed to require the Company to

both maximize customer performance and participation in the CMCP.

Q. How are targets expressed for the existing Commercial Managed Charging EAM?

A. Targets for the current Commercial Managed Charging EAM are expressed as a percent improvement in the Commercial Managed Charging metric above a baseline level. The current Commercial Managed Charging EAM targets are set at a 5 percent improvement over the historical baseline, 10 percent improvement over the historical baseline, and 17 percent improvement over the historical baseline for the minimum, midpoint, and maximum achievement levels, respectively.

Q. Are there any other notable features of the existing Commercial Managed Charging EAM's baseline methodology?

A. Yes. As shown on page 10 of the 2023 Managed Charging EAM Collaborative Report, the Commercial Managed Charging EAM baseline includes a term to adjust the baseline based on the incremental amount of commercial charging capacity installed between rate years.

Q. What is the reasoning behind this adjustment to the baseline?

A. The 2023 Managed Charging EAM Report was submitted shortly before the CMCP launched in early 2024. Based on our experience with launching new programs, participation in new programs tends to grow rapidly on a percentage basis before leveling out as the program matures. Although not explicitly stated in the 2023 Managed Charging EAM Report, the rationale for this adjustment to the baseline was to correct for anticipated rapid growth in customer participation within the CMCP in the early stages of its maturity.

Q. What financial awards are presently available for performance in the Residential Managed Charging EAM?

A. As shown on page 11 of the 2023 Managed Charging EAM Collaborative Report, the Company can earn two basis points of financial incentive for achieving the minimum target, three basis points of financial incentives for achieving the midpoint target, and up to five basis points of financial incentives for achieving the maximum

target, with pro-rata incentives available between the minimum and midpoint levels, and between the midpoint and maximum levels, as described on pages 2-3 of Appendix 22 of the Joint Proposal.

Q. What modifications to the Commercial Managed Charging EAM does the Company propose?

A. The Company proposes four modifications. First, as shown on pages 77-78 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to modify the baseline methodology, specifically to remove the adjustment based on the incremental amount of commercial charging capacity installed between rate years. The Company explains that it was reasonable to assume CMCP enrollment would grow at a significantly faster rate than the underlying market growth rate in the program's early years, however, the Company contends that the CMCP is in a more mature phase of program development during which program growth is expected to stabilize. Con Edison further states that maintaining the current baseline may require exponential growth, with the unreasonable result

that the required enrollment in the CMCP could exceed the total amount of commercial charging capacity installed. Con Edison asserts that its proposed modifications would allow the Commercial Managed Charging EAM baseline to keep pace with market growth.

Q. What is the second proposed modification?

A. Second, as shown on pages 78-79 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to increase the Commercial Managed Charging EAM maximum targets to 20 percent over baseline, while maintaining the existing 5 percent over baseline and 10 percent over baseline targets for the minimum and midpoint achievement levels, respectively.

Q. What is the third proposed modification?

A. Third, as shown on pages 22 and 24 of Exhibit___(CES-7), the Company proposes to implement a two-month "lag time" between when it would measure the total commercial charging capacity for a given year and the end of the summer period on September 30 of each year. That is, on July 31 of each year, the Company would measure the total commercial charging

capacity realistically eligible to participate in the CMCP by the end of the summer period.

Q. What is the Company's rationale for this modification?

A. On page 22 of Exhibit___(CES-7), the Company explains that there is a natural lag time between when commercial charging capacity is installed and when it can be enrolled in the CMCP – a period of approximately two months, during which time would-be CMCP participants must submit an application, submit sample charging data for verification, and sign the program agreement. Con Edison asserts that the two-month lag would result in a more accurate measurement of the installed commercial charging capacity eligible to participate in the CMCP by the end of the summer period than the current non-lagged methodology.

Q. What is the fourth proposed modification?

A. Fourth, as shown on page 4 of Exhibit___(CES-7), the Company proposes to increase the financial awards available at the midpoint, and maximum achievement levels. Specifically, the Company proposes to increase the financial awards

available at the midpoint achievement level from three basis points to four basis points. The Company proposes to increase the financial awards available at the maximum achievement level from five basis points to seven basis points.

Q. Did the Company provide any rationale to support its proposal to increase the financial awards for the Commercial Managed Charging EAM?

A. As discussed above regarding the DERU-Solar EAM, the Company states that it proposes to set EAM awards proportionally to the benefits that can be achieved through performance under the EAM, but does not provide any more specific rationale to support its proposed financial awards for individual EAM metrics, nor does it provide any more detailed rationale to support its proposals to modify the financial awards for any specific EAM metrics.

Q. Does the Panel have any recommendations regarding the Commercial Managed Charging EAM?

A. We recommend that the Commission maintain the present Residential Managed Charging EAM financial awards at the minimum, midpoint, and

maximum achievement levels. The Company did not provide a compelling rationale for significantly increasing the financial awards, therefore, we recommend keeping such levels at the present levels two basis points, three basis points, and five basis points at the minimum, midpoint, and maximum achievement levels respectively.

Other EV-related EAMs

Q. Does the Panel have recommendations regarding the existing Transportation Interconnection EAM, the existing Light-duty EV Emissions Reduction EAM, and the newly-proposed Electric Bus Emissions Reduction EAM?

A. Yes, however, our recommendations for each of these metrics is identical, therefore we will group our testimony on these metrics together.

Q. Please briefly describe the existing Transportation Interconnection EAM.

A. As shown on pages 14-15 of Appendix 22 of the Joint Proposal, the Transportation Interconnection EAM incentivizes the Company to reduce the average timeline for transportation electrification projects to move from application to energization, relative to a

historical baseline. The only electrification projects that are measured under the Transportation Electrification EAM are those which satisfy all the following criteria: (1) the load request is 300 kilowatts or larger; (2) at least one-half of the total load request is for transportation electrification; and (3) the load request does not include any non-transportation load. The Transportation Interconnection EAM measures the aggregate average timeline reduction in six categories ranging from comparatively simple interconnection work required such as adding a new secondary service with associated service cables, conduits and trenching, to as complex as adding a new underground vault to serve the customer with associated grid reinforcements needed to provide service to the customer. These categories are weighted each year based on the amount of MW capacity needed in the individual category, divided by the total amount of MW capacity of all projects measured within the six categories.

Q. How are Transportation Interconnection EAM

targets expressed?

A. Transportation Interconnection EAM targets are expressed as a percent improvement from a historical baseline. There are three steps needed to calculate this improvement.

Q. What is the first step?

Q. First, the rate year average time needed to complete projects is calculated as the sum of the products of (1) the average time needed to complete projects within each category and (2) that category's weight factor.

Q. What is the second step?

A. Second, a historical baseline average time to complete projects is calculated as the sum of the products of (1) historical average time needed to complete projects within each category and (2) that category's historical weight factor. The historical average times and capacities used for the weight factor are based on Company data from January 1, 2019 through August 31, 2022.

Q. What is the third step?

A. Third, the percent improvement over baseline is the quotient of (1) the difference between (a)

the rate year average time to complete projects and (b) the historical baseline average time to complete projects and (2) the historical baseline average time to complete projects.

Q. What are the current targets and financial award levels?

A. As shown on page 16 of Appendix 22 of the Joint Proposal, the targets ramp up over time, however, the 2025 targets are 13 percent improvement at the minimum level with a two basis point financial award; 20 percent improvement at the midpoint level with a three basis point financial award; and 35 percent improvement at the maximum level with a 6 basis point financial award.

Q. What modifications to the Transportation Interconnection EAM does the Company propose in the instant proceedings?

A. The Company proposes two modifications. First, as shown on pages 67-68 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to update the historical baseline data to use data collected between January 1, 2019 and August 31, 2024. The Company explains that

the longer timeline and larger sample size will reduce the impact of anomalies in the historical data. Second, as shown on page 4 of Exhibit___(CES-7) the Company proposes to modify the midpoint and maximum achievement level financial awards. Specifically, the Company proposes to increase the financial awards at the midpoint achievement level to five basis points, and the financial awards at the maximum achievement level to eight basis points.

Q. Please briefly describe the existing Light-duty EV Emissions Reduction EAM, and the Company's proposed modifications to it in these proceedings.

A. As shown on page 11 of Appendix 22 of the Joint Proposal, the Light-duty EV Emissions Reduction EAM incentivizes the Company to encourage efforts which will accelerate adoption of light-duty EVs within its service territory, including BEVs and PHEVs. The Light-duty EV Emissions Reduction EAM measures average carbon dioxide equivalent emissions reductions as the sum of (1) the product of (a) incremental BEV registrations in the Company's service territory

and (b) a BEV lifetime emissions reduction factor; and (2) the product of (a) incremental PHEV registrations in the Company's service territory and (b) a PHEV lifetime emissions reduction factor.

Q. How are the targets and baselines set?

A. As shown on pages 1 and 13 of Appendix 22 of the Joint Proposal, the baseline is set based on an Electric Power Research Institute (EPRI) light-duty vehicle forecast for BEVs and PHEVs, multiplied by the applicable lifetime emissions factors. Minimum targets are set 5 percent above the baseline level, with a financial award of two basis points. Maximum targets are set based on achievement of the Company's share of the October 24, 2013, multi-state Memorandum of Understanding (2013 MOU) which established a statewide goal of 850,000 light duty EVs on the road by the end of 2025, with a financial award of seven basis points. Midpoint targets are set at the average of the minimum target and the maximum target, with a financial award of 4.5 basis points.

Q. Please summarize the Company's proposed

modifications to the Light-duty EV Emissions Reduction EAM.

A. The Company proposes only one modification, however, there are several updates proposed. Regarding the modification, as shown on page 4 of Exhibit___(CES-7), the Company proposes to increase the financial awards available under the Light-duty EV Emissions Reduction EAM to three basis points at the minimum achievement level, six basis points at the midpoint achievement level, and 10 basis points at the maximum achievement level.

Q. What are the updates?

A. As shown on pages 81-82 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to update the Light-duty EV Emissions Reduction EAM targets. The Company proposes to use an updated EPRI light duty EV forecast to set the baseline and continue the methodology of setting the minimum target 5 percent above that baseline level. Con Edison proposes to update the maximum target at a level required to achieve the goals of the Advanced Clean Cars II regulation – which are summarized in our

discussion of the EV Charging Expansion and Vehicle Replacement programs above – instead of using the 2013 MOU. The Company proposes to update the midpoint targets using the existing methodology – that is, the average of the minimum and maximum targets.

Q. Please briefly describe the newly-proposed Electric Bus Emissions Reduction EAM.

A. The Electric Bus Emissions Reduction EAM is functionally very similar to the Light-duty EV Emissions Reduction EAM, in many respects, simply measuring electric bus registrations in the Company's service territory instead of light-duty EVs. As described on pages 82-83 of the Customer Energy Services Panel, the Electric Bus Emissions Reduction EAM would measure the lifetime carbon dioxide equivalent emissions reductions from adoption of EV buses compared to the anticipated emissions of an internal combustion engine bus from electric buses registered in the Company's service territory each year. Con Edison states that this EAM would support both the Metropolitan Transit Authority's public transit bus adoption plans as

well as the State's plan to transition to electric school buses.

Q. What baseline and targets does the Company propose?

A. As shown on page 85 of the Customer Energy Solutions Panel's initial testimony, the Company proposes to set the baseline using an EPRI year-on-year incremental electric bus forecast, multiplied by the applicable emissions reduction factor. The Company proposes to set the minimum targets at a level five percent above the baseline. The Company states that its proposed maximum target is based on the State's requirement of 100 percent of new bus sales beginning in 2027 to be zero emissions, as well as consideration of United States Environmental Protection Agency school bus funding awards and available capital plans from transit agencies. The Company proposes to set the midpoint target as the average of the maximum and minimum target levels.

Q. What financial awards does the Company propose?

A. As shown on page 4 of Exhibit___(CES-7), the Company proposes to earn two basis points of

financial award at the minimum achievement level, five basis points of financial award at the midpoint achievement level, and eight basis points of financial award at the maximum level.

Q. What is the Panel's recommendations regarding these three EAMs?

A. We recommend that the Commission eliminate the Transportation Interconnection EAM, Light-duty EV Emissions Reduction EAM, and Electric Bus Emissions Reduction EAM.

Q. What is the Panel's rationale for eliminating these proposed EAMs?

A. As discussed above, the purpose of EAMs is to align the utility business model with desired policy outcomes, especially those which run counter to the traditional cost of service ratemaking model. However, it is evident throughout the Company's testimony that its traditional business model is well aligned with providing new or incremental service to customers adopting electric vehicles, both light-duty and medium- and heavy-duty, and that it now has a stake and profit motivation in further advancing electric vehicle adoption.

Because the utility's traditional business model has aligned with the desired outcome of encouraging EV adoption, EAMs to further boost the utility's attention to that topic are no longer necessary or reasonable to provide.

Q. What evidence can the Panel provide to demonstrate that the Company's business model is in alignment with increasing EV adoption?

A. We conducted a survey of capital projects within the Company's rate filing which are either directly tied to the Company's plans to electrify its own fleet, or other otherwise at least partially justified on the basis of meeting current or anticipated electric vehicle load growth. To do this, we reviewed the Company's whitepapers submitted in various Exhibits by the Electric Infrastructure and Operations Panel, Shared Services Panel whitepapers, Information Technology Panel, and Customer Energy Solutions Panel.

Q. Before discussing the results of your survey, is there any important context that should be provided to clarify what the data is intended for?

A. Yes. Our review of Company whitepapers was intended to identify projects where transportation electrification was used as any part of the rationale for that project. Our results should not be interpreted in any way as reflective of the cost of transportation electrification. Instead, our result is the summation of the total forecast project costs over a five-year period from 2025 through 2029 which have any linkage whatsoever transportation electrification. Further, our survey is of the Company's proposed projects and does not in any way reflect Staff's adjustments to those projects, whether discussed in this Panel or others. Our results are solely intended to illustrate that the Company has indeed incorporated transportation electrification into the core way it earns a profit – return on its net plant in service.

Q. What does your survey reveal?

A. As shown in Exhibit___(SMIP-7), we identified 36 capital projects which include some linkage between the need for the project and transportation electrification. The five-year

CapEx costs associated with these projects is nearly $8 billion. While we caution against using this figure for any purpose other than our intended use, it does illustrate the point that building to meet transportation electrification needs - and by extension encouraging adoption of electric vehicles - is well within the Company's traditional business model based on the Company's rate request in these proceedings. Therefore, we recommend that no further incentives are necessary under the Transportation Interconnection EAM, Light-duty EV Emissions Reduction EAM, or Electric Bus Emissions Reduction EAM.

Q. Does this conclude your testimony?

A. Yes, at this time.